N2N CONNECT

We deliver…

Together.

ANNUAL REPORT

2012

Mission Statement

To be the number 1 one stop Innovative Application Service Provider for the e-Commerce and m-Commerce segments of the Financial Industry, both locally and regionally

What's inside

The content of N2N Connect Annual Report 2012

Corporate Section

1 Corporate Information
2 Corporate Structure
3 Chairman's Statement
8 Directors' Profile
11 Event Highlights
13 Corporate Governance Statement
20 Statement On Risk Management and Internal Control
21 Audit Committee Report
26 Additional Compliance Information

Financial Section

29 Directors' Report
34 Statement by Directors
34 Statutory Declaration
35 Independent Auditors' Report
37 Statements of Financial Position
39 Statements of Comprehensive Income
40 Statements of Changes in Equity
42 Consolidated Statement of Cash Flows
44 Statement of Cash Flows
46 Notes to the Financial Statements
92 Analysis of Shareholdings
94 Analysis of Warrantholdings
96 The Notice of Annual General Meeting
Proxy Form

Corporate Information

DIRECTORS

Izlan bin Izhab
(Independent Non-Executive Chairman)

Tiang Boon Hwa
(Managing Director)

Lai Su Ping
(Non-Independent Executive Director)

Chua Tiong Hoong
(Non-Independent Executive Director)

Cho Wai Loon
(Independent Non-Executive Director)

Tan Boon Leng
(Independent Non-Executive Director)

COMPANY SECRETARIES

Ho Mun Yee
(MAICSA 0877877)

Tam Fong Ying
(MAICSA 7007857)

REGISTERED OFFICE

3rd Floor
17, Jalan Ipoh Kecil
50350 Kuala Lumpur
Telephone no.: 603 4044 3235
Fax no.: 603 4041 3959
E-mail: esprit@espritms.com.my

HEAD OFFICE

Wisma N2N
Level 9, Tower 2
Avenue 3, Bangsar South
No. 8, Jalan Kerinchi
59200 Kuala Lumpur
Telephone no.: 603 2241 1818
Fax no.: 603 2241 1616
Website: www.n2nconnect.com

AUDITORS

Morison Anuarul Azizan Chew
(AF 001977)
Chartered Accountants
18, Jalan 1/64
Off Jalan Kolam Air/Jalan Ipoh
51200 Kuala Lumpur
Telephone no.: 603 4048 2888
Fax no.: 603 4048 2999

REGISTRAR

Symphony Share Registrars Sdn Bhd
(378993-D)
Level 6, Symphony House
Pusat Dagangan Dana 1,
Jalan PJU 1A/46,
47301 Petaling Jaya, Selangor
Telephone no. : 603 7841 8000
Fax : 603 7841 8151 / 8152

PRINCIPAL BANKERS

Malayan Banking Berhad
AmBank (M) Berhad

STOCK EXCHANGE LISTING

ACE Market of
Bursa Malaysia Securities Berhad
Stock Name: N2N
Stock Code : 0108

Corporate Structure

Chairman's Statement

Dear Shareholders,

On behalf of the Board of Directors of N2N Connect Berhad ("N2N" or "Company"), I am pleased to present the Annual Report and Audited Financial Statements of N2N and its subsidiaries ("Group") for the financial year ended 31 December 2012 ("Year 2012").

The year under review was indeed a monumental milestone for us, one during which the Group as a homegrown solution provider implemented TraderConnect™ Pro ("TC Pro") to replace the aging Broker Front End ("BFE") system that has served the securities industry for almost 20 years. The replacement trading platform, TC Pro rides on the Direct Market Access ("DMA") gateway, was successfully implemented and went live for all of its panel stockbroking companies well within the deadline of 31 December 2012 mandated by Bursa Malaysia ("Bursa"). N2N's panel brokers accounts for two third ("2/3") out of all Malaysian local investment banks and stockbroking companies collectively.

In addition, N2N has also been engaged by the Philippine Stock Exchange ("PSE") to provide online trading solutions and DMA to PSE's trading participants and we are pleased that PSE has successfully rolled out its platform provided by N2N in April 2013.

In the same year, N2N Connect Pte Ltd, our Singapore subsidiary, was also selected by CIMB Securities (Singapore) Pte Ltd as its preferred regional trading platform provider after several rounds of evaluation and has successfully went live to replace its online web trading as well as the trading platform for company dealer, remisier and proprietary traders, replacing its previous system provided by Headstrong from India and SunGard from the United States of America.

Financial Performance Highlights

Year 2012 was a period during which the Group continued to focus on building capabilities in DMA for New York Stock Exchange's Euronext and Nasdaq OMX's Genium, which is currently rated as the world's fastest matching system. N2N continues to invest in its research and development ("R&D") to bring forth and delivery of value-added services while continuing to improve internal operational and financial efficiencies.

Revenue for the year increased 28.5% to RM26.6 million as eBrokerConnect™ business grew 28.8% to RM13.4 million while revenue from the provision of managed network services increased by 29.4% to RM13.2 million, reflecting increasing customer acceptance of our one-stop service solutions. The increase in revenue was also in line with our implementation of the TC Pro application with various stockbroking companies to enable DMA capability, as well as increased transactions of the online multi-assets class multi-exchange trading platform provided by the Group. There was a favourable turnaround in performance as the Group recorded a profit before taxation of RM1.9 million for the FYE 2012 compared to the loss before taxation of approximately RM1.2 million in the previous FYE 2011.

The results and effects of the above are further boosted by the current strong and fast-paced demands for continuing research & development ("R&D") of software as well as design, programming and consultancy services provided by the Group. The Group also relocated all its Malaysia subsidiary companies and centrally house them in its newly acquired building, Wisma N2N in Bangsar South and has embarked on the building of its very own data center to serve its growing needs and the needs of its clients.

Industry Trend and Development

Market Overview

Malaysian Information Technology ("IT") spending is expected to reach US$5.6bn in 2013, up 7%, although economic activity is expected to slow over the coming quarters. Demand for IT products and services is forecast to stay resilient overall, even as economic growth moderates. There should be several areas of opportunity, particularly in key spending verticals such as telecoms, and a new government Digital Malaysia Plan was unveiled in 2012. Spending on IT products and services should be boosted by growing enterprise and government interest in cloud computing, and Information, Communication and Technology ("ICT") friendly budget measures, but much will depend on confidence in a sustainable economic recovery. Malaysia's IT market is distinguished by a marked digital divide and, in the Klang Valley area around Kuala Lumpur, a mature urban population surpasses even some developed nations in terms of IT adoption on some indicators.

Key Trends and Developments

The Multimedia Super Corridor Malaysia has named cloud computing as a strategic priority and has said that it will try to develop a national cloud computing platform. Cloud projects are not confined to the national level, as state governments are also exploring this area. Malaysia's

Chairman's Statement

Melaka State Government has started to build new infrastructure, including a common datacentre and a disaster recovery centre. The Melaka State Government has virtualised the datacentre infrastructure to make sure it is 'cloud-enabled'. Cloud computing is also seen in Malaysia as having considerable utility for schools.

Around 90% of Bursa Malaysia companies fall into the small and medium-sized enterprise ("SME") category and these are increasingly being seen as a key IT vertical demand sector in the country. Many are facing a tough time due to rising costs and high oil prices. At the same time, SMEs need to become more competitive and have greater access to information and technology. Cloud computing software delivery models, with monthly costs as low as RM300, are seen as having great potential to help more SMEs to access technology.

In 2012 the government announced its latest Digital Malaysia Masterplan to drive the next stage of development of Malaysia's ICT sector. The plan will propose a number of measures to strengthen Malaysia's ICT ecosystem, including talent development, as well as stimulating demand by consumers and businesses for ICT products and services. Encouraging the creation of more local applications for cloud computing is expected to be one focus of the Digital Malaysia plan. The government's plan to develop a national cloud computing programme should also drive opportunities in this key emerging area for vendors.

(Source: Malaysia Information Technology Report Q1 2013, Business Monitor International)

Research and Development

The Group continues its main focus on its R&D efforts as it believes R&D will remain a critical factor for N2N to maintain its competitive edge and remain a leader in the constantly evolving financial industry.

As the Group caters primarily to stockbroking companies and banks' outsourcing e-business locally and regionally, factors such as data security, accuracy, capacity, dependability, and speed are critical to the marketability of the Group's services. As such, the Group's R&D scope is to strengthen the performance of its existing e-commerce segment while developing and enhancing new applications and services, particularly its financial suite, GlobalConnect™ and TraderConnect™ which incorporates a powerful technical analysis toolkit and innovative trading capabilities to deliver state-of-the-art desktop trading management system.

Besides investing almost 30% of its revenue on R&D, the Company will continue to invest in training and development skills for the employees in its R&D team and continue to encourage the development of fresh innovative concepts.

Future Prospects

While the Group anticipates continuing recovery of its financials with better financial performance in FYE 2013, N2N is looking at opportunities locally and regionally which aim to accomplish sustainable profitability growth in the future. To boost future revenue and profitability of the Group, N2N plans to continue to grow revenue locally by migrating existing clients in Malaysia who have yet to join the new trading platform and by winning new clients as Bursa Malaysia began to embark on its new Bursa Trading System ("BTS2") by adopting the Nasdaq OMX Xtreme trading platform. Since N2N currently accounts for 2/3 of the Bursa local trading members, which collectively accounts for 2/3 of the Bursa daily trading volume, N2N will play a crucial position to help Bursa with the migration which is targeted to complete before the end of FYE 2013.

N2N's efforts to improve our value proposition have resulted in our distinction of being the country's leading online trading service provider with DMA capabilities to provide a complete replacement of the BFE system, which has reached the end of its life cycle in FYE 2012. We are in a unique position to capitalise on distinctive trends in the provision of technology solutions for the securities industry. A confluence of factors has opened up significant opportunities for N2N at a time when our

Chairman's Statement

technological capabilities and business model have matured. As an ongoing conformance exercise, the Group has pledged to provide innovative services and is on mark with world-class trading technologies.

In addition to conformance of DMA enabled trading platforms, many of the current trading platforms used by stockbrokers in the region are due for replacement. These replacement programmes are coming at a time when brokers want to have more streamlined cross-border trades, both broker-assisted or pure internet trading, simplified risk management and access to fundamental data and tools to facilitate decision-making. Of equal significance is the growing trend for the stock exchanges themselves to reduce their role as the provider of technological platforms so that they can focus on their core functions as regulator and promoter of the capital market. While N2N has secured contracts to implement securities trading solutions for Malaysian as well regional securities companies, the PSE deal is the first it has scored directly with an ASEAN stock exchange, and we look forward to a more unified ASEAN trading market.

Having turnaround in financial performance, our continuing focus over the next two to three years is to take advantage of this changing landscape to offer our solutions as the standard-bearer for the securities industry. In so doing, we will enhance shareholder value. The Board remains confident that, with a proven global strategy, continued strong execution and further differentiation in products and services, the Group will continue to deliver profitable growth in the coming year.

Acknowledgement

On behalf of the Board of Directors, I wish to extend the Board's appreciation to all our stakeholders for supporting us in marking our important milestones during the year under review.

I would also like to thank my colleagues on the Board, the management team and all the N2N staff for all their hard work, dedication, continued commitment and invaluable assistance to produce the robust performance of the Group. The achievement is a testimony of determination and dedication that our people have relentlessly pursued throughout the years.

I am confident that the journey in N2N will continue to be exciting and I look forward to yet another successful year ahead.

Izlan bin Izhab
Chairman

Board of Directors

1. **Izlan bin Izhab**
   Independent Non-Executive Chairman
2. **Tan Boon Leng**
   Independent Non-Executive Director
3. **Chua Tiong Hoong**
   Non-Independent Executive Director
4. **Lai Su Ping**
   Non-Independent Executive Director
5. **Cho Wai Loon**
   Independent Non-Executive Director
6. **Tiang Boon Hwa**
   Managing Director

Directors' Profile

Izlan bin Izhab
67 years of age, Malaysian
Independent Non-Executive Chairman

Izlan bin Izhab was first appointed to the Board of the Company on 22 August 2005. He holds a Bachelor of Laws degree from the University of London, UK and attended the Advanced Management Program at the University of Hawaii, USA. He occasionally lectures on Malaysian securities law, companies law and corporate governance for various public and private sector consultancy and training organizations. He was the Executive Vice-President of Corporate and Legal Affairs of Bursa Malaysia Berhad from 1985 until his retirement in 2000. He was also serving as Company Secretary for Kompleks Kewangan Malaysia Berhad from 1975 to 1978, before becoming the Company Secretary for Permodalan Nasional Berhad from 1978 to 1984. He began his career by serving as an Assistant Legal Officer for Majlis Amanah Rakyat in 1973.

He is currently a Director of BOX-PAK (Malaysia) Berhad, CIMB Aviva Assurance Berhad, CIMB Aviva Takaful Berhad, K&N Kenanga Holdings Berhad, OSK-UOB Islamic Fund Management Berhad and OSK-UOB Investment Management Berhad. He is also a member of the Board of Governors of Research Institute of Investment Analysts and Bursa Malaysia Berhad's Appeals Committee.

He also sits as the Chairman of the Option Committee and as a member of the Audit Committee, Nomination Committee and Remuneration Committee.

He has no family relationship with any other directors or major shareholders of the Company. There is no conflict of interest with the Company. Within the last 10 years, he has not been convicted for any offences, other than traffic offences, if any. He does not hold any shares in N2N.

Tiang Boon Hwa
50 years of age, Singaporean
Managing Director

Tiang Boon Hwa is one of the Company's founders and was first appointed to the Board of the Company on 24 August 2000. He obtained his Diploma in Computer Studies from City and Guilds of London Institute, UK in 1982. His main responsibilities include management of the Group's overall business, technology and financial matters. He started his career as a programmer with SGV Goh Tan Pte Ltd, a Singapore accounting cum software house and was promoted to senior consultant at the age of 25. In 1988, he left SGV Goh Tan Pte Ltd and headed the regional audit division (IT audit) of Citibank N.A South Asia, based in Singapore and was subsequently awarded the Best IT Auditor for Asia Pacific Region in 1989. He joined Computer Associates Pte Ltd in 1990 as an account manager and quickly rose to become the managing director for Computer Associates Pte Ltd's subsidiary in Malaysia in 1992. Later, he joined i2 Technologies Pte Ltd in 1996 as a regional director to set presence in several Asian countries. In 1998, he joined Exact Software Asia Sdn Bhd to start up the Asia Development Centre. Having gained wide exposure in both information technology and business operations, he began his entrepreneur pursuit by starting N2N, in year 2000 together with several friends.

Currently, he sits as a member of the Remuneration Committee and Option Committee. He does not hold any directorships on the Board of other public listed companies in Malaysia.

He is a substantial shareholder of the Company and the husband of Lai Su Ping, the non-independent executive director and substantial shareholder of the Company. There is no conflict of interest with the Company. Within the last 10 years, he has not been convicted for any offences, other than traffic offences, if any. Please refer to page 93 of this Annual Report for his securities holding.

Directors' Profile

Lai Su Ping
42 years of age, Malaysian
Non-Independent Executive Director

Lai Su Ping is one of the Company's founders and currently an Executive Director of marketing and corporate events. She was first appointed to our Board on 10 August 2000. She obtained her Diploma in Marketing from the Chartered Institute of Marketing, UK in 1991. She is primarily responsible for the corporate events and public relations of our Company. She started her career in 1988 as a marketing executive for Yvonex Sdn Bhd and later she joined Kumpulan Jetson Berhad as a project executive specialising in events and exhibition organisation. In 1994, she joined Computer Associates (M) Sdn Bhd as a channel manager where she was instrumental in establishing a customer service team as well as setting up channel sales via the appointment of product distributors.

She does not hold any directorships on the Board of other public listed companies in Malaysia.

She is a substantial shareholder of the Company and the wife of Tiang Boon Hwa, the managing director and substantial shareholder of the Company. There is no conflict of interest with the Company. Within the last 10 years, she has not been convicted for any offences, other than traffic offences, if any. Please refer to page 93 of this Annual Report for her securities holding.

Chua Tiong Hoong
42 years of age, Malaysian
Non-Independent Executive Director

Chua Tiong Hoong is one of the Company's founders and currently an Executive Director of business development. He was first appointed to the Board of the Company on 10 August 2000. He graduated with a Bachelor of Science in Computer Science (Double Major in Mathematics and Computing) degree from the University of Adelaide (Australia) in 1992. His main responsibility includes managing the day-to-day operations focusing on project implementation and technical operations of our Group. He started his career as a network engineer at Applied Business System Sdn Bhd in 1993. He was later responsible for project development and also managing the company's helpdesk. In 1994, he joined MicroForest Systems (M) Sdn Bhd as a project manager to spearhead the implementation of resource planning, point-of-sales and back-end systems for retail and manufacturing industries. He also supported the multilevel marketing and chemical manufacturing system. From 1997 to 2000, he was with Exact Software Asia Sdn Bhd as an assistant manager responsible for system development, specialising in Enterprise Resources Planning System. He founded N2N together with the founder members in 2000.

He does not hold any directorships on the Board of other public listed companies in Malaysia.

He has no family relationship with any other directors or major shareholders of the Company. There is no conflict of interest with the Company. Within the last 10 years, he has not been convicted for any offences, other than traffic offences, if any. Please refer to page 93 of this Annual Report for his securities holding.

Directors' Profile

Cho Wai Loon was first appointed to the Board of the Company on 22 August 2005. He is a fellow member of the Association of Chartered Certified Accountants ("ACCA") and Malaysian Institute of Taxation as well as a member of the Malaysian Institute of Accountants. He has more than 20 years of experience in the field of management consulting, accounting and taxation. He started out his accountancy career as a trainee in 1982. From 1982 to 1994, he was attached to several public accounting firms gaining multiple experiences. He currently operates his own practice providing management consultancy, secretarial and accounting services.

He sits as a Chairman of the Audit Committee and as a member of the Nomination Committee, Remuneration Committee and Option Committee. He does not hold any directorships on the Board of other public listed companies in Malaysia.

He has no family relationship with any other directors or major shareholders of the Company. There is no conflict of interest with the Company. Within the last 10 years, he has not been convicted for any offences, other than traffic offences, if any. Please refer to page 93 of this Annual Report for his securities holding.

Cho Wai Loon
48 years of age, Malaysian
Independent Non-Executive Director

Tan Boon Leng was first appointed to the Board of the Company on 15 April 2009. He is currently an Executive Director of Century Bond Bhd ("Century Bond") and he has over 25 years of business experience and contributed to the growth and expansion of the business of Century Bond and its subsidiaries especially in the areas of sales and marketing of the Century Bond Group's products.

He also sits as the Chairman of the Nomination Committee and Remuneration Committee and as a member of the Audit Committee.

He has no family relationship with any other directors or major shareholders of the Company. There is no conflict of interest with the Company. Within the last 10 years, he has not been convicted for any offences, other than traffic offences, if any. Please refer to page 93 of this Annual Report for his securities holding.

Tan Boon Leng
47 years of age, Malaysian
Independent Non-Executive Director

Event Highlights

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c

d

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f

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a APRIL

Invest Fair 2012 at Suntec Singapore

b MAY

c The N2N Group relocated to Wisma N2N

d JUNE

N2N 11th Annual General Meeting

e JUNE

Philippine Stock Exchange(PSE) and N2N Signing Ceremony

f AUGUST

g Blood Donation Campaign, A "Do Good" Community Project by N2N

h AUGUST

i Official launch of Wisma N2N

Event Highlights

j AUGUST
N2N Buka Puasa Feast

k NOVEMBER
MATRADE Intrade Malaysia 2012

l DECEMBER
N2N Christmas & New Year Celebration

m DECEMBER
A visit to Rumah Keluarga Kami, Kajang, Selangor

n JANUARY 2013
N2N BootCamp at Jogja, Indonesia

o JANUARY 2013
HOD Retreat at Jogja, Indonesia

Corporate
Governance Statement

THE CODE

The Board of Directors ("the Board") of N2N Connect Berhad ("Company") acknowledges that Corporate Governance is a form of self-regulation which is aimed at maximizing shareholders' value. The Board strives to achieve the best practices in Corporate Governance as outlined by the Malaysian Code on Corporate Governance 2012 (the "Code") in carrying out its duties and responsibilities.

The Company has adopted a number of measures to ensure effectiveness of the Board in discharging its duties and responsibilities.

THE BOARD OF DIRECTORS

The Group is led and controlled by an effective Board consisting of professionals and competent individuals of caliber with diverse backgrounds, expertise and experience in various fields such as business, technical, marketing and finance considered suitable for managing the Group's businesses. The appointment of Independent Non-Executive Directors who are not members of the management will ensure that they are free of any relationship which could interfere with the exercise of independent judgement or ability to act in the best interests of the Group ensuring that any decision of the Board is deliberated fully and objectively with regard to the long term interest of all stakeholders. The Executive Directors, representing the Management, are responsible for implementing the corporate strategies and management of day-to-day operations of the business. The roles of the Chairman and the Managing Director are separated with Izlan Bin Izhab as the Independent Non-Executive Chairman of the Board and Tiang Boon Hwa as the Managing Director. The Chairman is responsible to ensure that the Board functions properly with appropriate corporate governance practices and procedures, whist the Managing Director is responsible for the day-to-day operations and business activities of the Group. This is to ensure a balance of power and authority.

Within the powers accorded by the Company's Articles of Association ("Articles"), the Board is charged with amongst others, the development of corporate objectives and the review and approval of corporate plans, overseeing the conduct of the Company's business, acquisitions and disposal of undertakings and properties of substantial value, major investments and financial decisions and changes to the management and control structure within the Group including key risk management, treasury, financial and operational policies and delegated authority limits.

(i) Composition

The Board currently consists of six (6) Directors, three (3) of whom are Independent Non-Executive Directors. The Board composition is in compliance with the ACE Market Listing Requirement ("ACE LR") where at least one-third of the Board comprises of Independent Directors.

(ii) Board Meetings

During the financial year ended 31 December 2012, six (6) Board Meetings were held and all Board members attended more than 75% of the Board Meetings. The Directors' attendance records at the Board Meetings for the last financial year are as follows:

Directors	No. of Board Meetings attended
Izlan bin Izhab	6/6
Tiang Boon Hwa	6/6
Lai Su Ping	6/6
Chua Tiong Hoong	6/6
Cho Wai Loon	6/6
Tan Boon Leng	5/6

(iii) Directors' Training and Continuing Education Program

The Board is constantly encouraged to attend programmes and seminars to keep abreast with the latest development in the industry and market place.

All members of the Board have attended the Mandatory Accreditation Programme prescribed by Bursa Securities. Apart from attending various conferences and seminars organized by external organizers, the Board also benefited from technical briefings which were conducted by in-house professionals. During the year, the Directors attended the following seminars and trainings for continuous professional development:

- 5th Annual Corporate Governance Summit;
- ICAA-MICPA Audit Forum;
- Training for Directors in CIMB Group;
- PNB Nominee Directors' Convention;
- MICG/FPLC Seminar on the Malaysian Code on Corporate Governance 2012;
- Vietnam M&A – Acquiring Business: Due Diligence, Structuring and Valuation (KL);
- Training in investment consideration when exploring Cambodia;
- Independent Directors, Audit & Risk Committees during the financial year ended 31 December 2012 organised by MIA;
- Malaysian Code on Corporate Governance 2012 by Smart Focus.

The Board will continue to identify other training programs that can further enhance their knowledge in the latest development relevant to the Group, especially in the area of corporate governance and regulatory development, to enable them to discharge their responsibilities effectively.

(iv) Re-Election of Directors

In accordance with the Company's Articles of Association, at least one-third of the Board, including Managing Director, shall retire and is subject to re-election and each Director shall stand for re-election at least once every three (3) years.

(v) Appointments to the Board

The Nomination Committee recommends the appointment of new Directors to the Board.

(vi) Board Effectiveness Assessment

An assessment of the effectiveness of the Independent Directors, Executive Directors and the Board Committees is carried out annually. The objective is to improve the Board's effectiveness by identifying gaps, maximize strengths and address weaknesses. The Chairman of the Board oversees the overall evaluation process and responses are analysed by the Nomination Committee, before being tabled and discussed at the Board.

SUPPLY OF INFORMATION

The Directors will be provided with all relevant information in sufficient time, prior to the date of scheduled Board Meetings. This is to enable the Board members to obtain further explanation or clarification to facilitate the decision making process and meaningful discharge of their duties.

The Directors will be able to seek professional advice as and when necessary and the Board will formalise the procedures for Directors to take independent advice, in the furtherance of their duties.

The Directors are also regularly updated by the Company Secretaries on new statutory and regulatory requirements concerning their duties and responsibilities as and when necessary. All Directors have direct access to the advice and services of the Company Secretaries who ensures that all appointment are properly made and that all necessary information is obtained from the Directors, both for the Company's own records or for the purposes of meeting statutory obligations, as well as obligations arising from the ACE LR or other regulatory requirements.

Information provided to the Directors goes beyond the quantitative performance data as it includes qualitative information for the Directors to obtain a holistic view on the issues deliberated.

STRATEGIES PROMOTING SUSTAINABILITY

The Board promotes good Corporate Governance in the application of sustainability practices throughout the Company, the benefits of which are believed to translate into better corporate performance. A detailed report on sustainability activities, demonstrating the Company's commitment to the environment, social, governance and sustainability agenda, appears in the Corporate Social Responsibility Statement of this Annual Report and corporate website.

BOARD CHARTER

The Board Charter is currently being drafted and will be posted on the Company's website after the Board's approval. In the course of establishing a board charter, the Board recognizes the importance to set out the key values and principles of the Company, as policies and strategy development are based on these considerations. The Board Charter is expected to include the division of responsibilities and powers between the board and management as well as the different committees established by the Board.

CODE OF CONDUCT

The Code of Conduct ("COC") is currently being drafted and will be posted on the Company's website after the Board's approval. In the course of establishing the code of conduct, the Board recognizes the importance to promote and reinforce ethical standards throughout the Group. Moving forward, the Company will continuously support, promote and ensure compliance to the COC. The COC will not only apply to every employee of the Group, but also to every Director (executive and non-executive). Furthermore, the Company will strive to ensure our consultants, agents, partners, representatives and others performing work or services for or on behalf of the Company comply to the COC.

BOARD COMMITTEES

The Board has established the following committees:

(i) Nomination Committee

The Nomination Committee ensures that the Directors of the Board bring characteristics to the Board, which provides a required mix of responsibilities, skills and experience. The Nomination Committee will also assist the Board in reviewing on an annual basis the appropriate balance and size of Non-Executive participation and in establishing procedures and processes towards an annual assessment of the effectiveness of the Board as a whole, the Committees of the Board and contribution of each individual Director.

This Committee is chaired by Tan Boon Leng and the members are Izlan bin Izhab and Cho Wai Loon.

The Nomination Committee, in recommending candidates for appointment to the Board, assesses the candidates' experience, background and skills required by the Board. The Company believes that individuals with diverse background on the Board of Directors could improve board functioning and the decision making process. Harnessing strength from a variety of backgrounds, experiences and perspectives allows the Board to bring diverse perspectives in its deliberations. Ultimately, board diversity is about providing complimentary views that lead to better board decisions. Appointments to the Board shall be based particularly on merits and capabilities with focus on the breadth of experience and views each Director brings to the Board.

The Nomination Committee, in assessing the performance and effectiveness of the Board as a whole, Board Committees, as well as each individual Director, on an annual basis includes the specific assessment of independence of Independent Directors in the annual performance assessment. Each Independent Non-Executive Director is obligated, nevertheless, to ensure his or her independence is in accordance with the ACE Listing Requirements.

Gender Diversity

The Board does not have any gender diversity policies and targets or any set measures to meet any target. Nevertheless, the Group is an equal opportunity employer and all appointments and employments are based strictly on merits and are not driven by any racial or gender bias.

The Nomination Committee meets as and when necessary and may decide by way of circular resolutions. The Nomination Committee held one (1) meeting during the financial year ended 31 December 2012 with full attendance.

(ii) Remuneration Committee

The Remuneration Committee acts as a committee of the full Board to assist in assessing the remuneration of the Directors reflecting the responsibility and commitment undertaken by the Board membership.

This Committee is chaired by Tan Boon Leng and the other members include Izlan bin Izhab, Cho Wai Loon and Tiang Boon Hwa.

In general, the Remuneration Committee shall not have delegated powers from the Board to implement its recommendations but shall be obliged to report its recommendations to the full Board for consideration and implementation.

In carrying out its duties and responsibilities, the Remuneration Committee has:

(a) full, free and unrestricted access to any information, records, properties and personnel of the N2N Group; and

(b) the power to obtain independent professional advice and expertise necessary for the performance of its duties.

All members of the Remuneration Committee have access to the advice and services of the Company Secretary and Head of Human Resources.

The Remuneration Committee meets as and when necessary and may decide by way of circular resolutions. The Remuneration Committee held one (1) meeting during the financial year ended 31 December 2012 with full attendance.

(iii) Option Committee

The Company obtained approvals from the shareholders at a general meeting on 13 October 2005 and 18 October 2005 to establish the Employees Share Option Scheme ("ESOS"). An Option Committee was set up to administer the ESOS in accordance with the By-Laws. Pursuant to the Board's approval on 24 August 2010, the tenure of the ESOS has been extended for a further 5 years, expiring on 22 December 2015.

This Committee is chaired by Izlan bin Izhab and the other members include Cho Wai Loon and Tiang Boon Hwa.

The Option Committee meets as and when necessary and may decide by way of circular resolutions.

(iv) Audit Committee

The Audit Committee is chaired by Cho Wai Loon and the other members include Izlan bin Izhab and Tan Boon Leng. Fuller details of the composition of the Committee are found in the Audit Committee Report.

DIRECTORS' REMUNERATION

Details of the remuneration of Directors for the financial year are as follows:

(i) Aggregate remuneration of Directors categorized into appropriate components:

	Executive RM	Non-Executive RM
Fees	119,280	72,000
Salaries and bonuses	1,397,947	–
Other benefits	7,452	–
Total	1,524,679	72,000

(ii) Number of Directors whose remuneration falls into the following bands:

Remuneration Band	No of Directors Executive	Non-Executive
RM1,001 – RM50,000	–	3
RM100,001 – RM150,000	1	–
RM200,001 – RM250,000	1	–
RM600,001 – RM650,000	1	–
Total number of directors	3	3

SHAREHOLDERS COMMUNICATION AND INVESTORS RELATIONS POLICY

Dialogue between the Company and Investors

The Company recognizes the importance of being accountable to its shareholders and investors through maintenance of an open communication policy with investors and shareholders alike. In ensuring effective communication, the Company communicates with its shareholders and investors through various means and forums such as the annual report, company visits, site visits, annual general meetings, exhibition and other Group activities.

Any information that may be regarded as undisclosed material information about the Group will not be given to any single shareholder or shareholder group. To ensure that shareholders and investors are well informed of major developments of the Group, information is disseminated to shareholders and investors through various disclosures and announcements to Bursa Securities which include quarterly financial results and press release from media. Such disclosures and announcements, as well as information pertaining to corporate governance are also available on the Company's website : www.n2nconnect.com.

At each Annual / Extraordinary General Meeting, Executive Directors and, where appropriate, the Chairman are available to respond to shareholders' questions during the meeting.

Annual / Extraordinary General Meeting

Notice of the Annual General Meeting and Annual Reports are sent out to shareholders at least 21 days before the date of the meeting.

Besides the normal agenda for Annual General Meeting, the Board also provides opportunities for shareholders to raise questions pertaining to the business activities of the Group. All Directors are available to provide responses to shareholders' questions during these meetings.

Shareholders have a right to demand for a poll at each general meeting.

ACCOUNTABILITY AND AUDIT

Financial Reporting

The Board takes responsibility for presenting a balanced and meaningful assessment of the Group's operations and prospects each time it releases its quarterly and annual financial results. The Board is assisted by the Audit Committee to oversee the Group's financial reporting processes and the quality of its financial reporting. The Statement by Directors pursuant to Section 169(15) of the Companies Act, 1965 is set out on page 34 of this Annual Report.

Directors' Responsibility in Financial Reporting

In preparing the financial statements of the Group for the financial year ended 31 December 2012, the Directors have:

- Adopted suitable accounting policies and then apply them consistently;
- Made judgments and estimates that are reasonable and prudent;
- Ensured compliance with applicable accounting standards;
- Prepared financial statements on the going concern basis unless otherwise stated; and
- Ensured proper maintenance of accounting records, disclosing reasonable accuracy in the financial position of the Group.

The Directors are also responsible for safeguarding the assets of the Group, and hence for taking reasonable steps to safeguard the assets of the Group and to detect and prevent fraud and other irregularities.

Corporate Governance Statement

Risk Management and Internal Control

The Board of Directors is aware of its responsibility to maintain a sound system of risk management and internal controls to safeguard shareholders' investment and the Group's assets. It will be an ongoing process for identifying, evaluating and managing the significant risk faced by the Group in the future and this will be regularly reviewed by the Board up to the date of approval of the Annual Report. The main elements of this system are designed to manage rather than eliminate the risk of failure to achieve business objectives and can only provide reasonable and not absolute assurance against material misstatement or loss. The principle is further elaborated under the Statement on Risk Management and Internal Control by the Directors as set out on page 20 of this Annual Report.

For the financial year ended 31 December 2012, the Board and Audit Committee have appointed IBDC (Malaysia) Sdn Bhd, the outsourced professional firm for the establishment of an independent internal audit function which is in compliance with the ACE LR. The Board and the Audit Committee also work closely with external auditors on the functions of internal controls from time to time, to ensure the smooth running of the Company's operations.

Relationship with the Auditors

The Board is aware that it should, through the Audit Committee, maintain a transparent and formal relationship with the external auditors, in the review of the external auditors' plan, report and procedures and the assistance given by the Group's employees to the external auditors. The Board is also aware that the Audit Committee will review any letter of resignation from the external auditors, the suitability of the external auditors for re-appointment and recommends the nomination of other person or persons as external auditors.

Assessment of Suitability and Independence of External Auditors

The Audit Committee undertakes an annual assessment of the suitability and independence of the external auditors. It is the policy of the Audit Committee to meet with the external auditors at least twice a year to discuss their audit plan, audit findings and the Company's financial statements. At least one of these meetings is held without the presence of the Executive Directors and the Management. The Audit Committee also meets with the external auditors additionally whenever it deems necessary. In addition, the external auditors are invited to attend the Annual General Meeting of the Company and are available to answer shareholders' questions on the conduct of the statutory audit and the preparation and contents of their audit report.

Statement on
Risk Management and Internal Control

Introduction

The Board, as guided by the ACE LR and the Statement on Risk Management and Internal Control (Guidelines for Directors of Listed Issuers) ("Internal Control Guidelines") is pleased to provide the following Statement which outlines the nature and scope of risk management and internal controls of the Group during the financial year in review.

The Board's Responsibilities

The Board acknowledges their responsibility to maintain a system of sound risk management and internal control and for reviewing its adequacy and integrity. The system is designed to manage rather than eliminate the risk of failure in achieving the Group's corporate objectives and can only provide reasonable but not absolute assurance against any material misstatement or loss.

The Risk Management Process

Apart from financial controls, the Group's system of internal controls also cover operational and compliance controls and, most importantly, risk management. As part of the risk management process, the Board assisted by the Audit Committee, is continuously identifying, assessing and managing significant business risks faced by the Group throughout the financial year.

The process will be regularly reviewed by the Board through the Audit Committee and is in accordance with the guidance as contained in the Internal Control Guidelines.

The Internal Control Process

The other key features of the Group's internal control system include the following:

- An organization structure with defined lines of responsibility and appropriate reporting structure including proper approval and authorization limit for approving capital expenditure and expenses within the Group;
- An Internal Audit function which performs regular and systematic review of the internal controls to assess and provide sufficient assurance on the effectiveness of the systems of internal control and to highlight significant risks impacting the Group with recommendation for improvement; and
- The Audit Committee will regularly review reports by the Internal Audit function and conducts annual assessment on the adequacy of the function's scope of work and resources.

The Group continues to take measures to enhance and strengthen the internal control environment.

Audit
Committee Report

The Board of Directors of N2N Connect Berhad is pleased to present the report of the Audit Committee for the year ended 31 December 2012.

The Audit Committee was established by a resolution of the Board on 13 October 2005.

Members and Meetings

The Members of the Audit Committee comprising the following directors.

	Composition of the Audit Committee	Attendance at the Committee Meetings held during the Financial Year ended 31 December 2012
Chairman	Cho Wai Loon (Independent Non-Executive Director)	5/5
Member	Izlan Bin Izhab (Independent Non-Executive Director)	5/5
Member	Tan Boon Leng (Independent Non-Executive Director)	4/5

TERMS OF REFERENCE OF THE AUDIT COMMITTEE

COMPOSITION

(1) The company must appoint an audit committee from amongst its directors which fulfils the following requirements:-

(a) the Committee must be composed of no fewer than 3 members;

(b) all the Committee members must be non-executive directors, with majority of them being independent;

(c) at least one member of the Committee:-

(i) must be a member of the Malaysian Institute of Accountants; or

(ii) if he is not a member of the Malaysian Institute of Accountants, he must have at least 3 years working experience and:-

- he must have passed the examinations specified in Part I of the 1st Schedule of the Accountants Act 1967; or
- he must be a member of one of the associations of accountants specified in Part II of the 1st Schedule of the Accountants Act 1967.

(iii) fulfills such other requirements as prescribed or approved by the Exchange.

(2) No alternate Director shall be appointed as a member of the Committee.

(3) The members of the Committee shall elect a Chairman from among their member who shall be an independent director.

(4) In the event of any vacancy in the Committee resulting in the non-compliance of subparagraph 15.09(1) of the ACE LR, the Board of Directors shall, within three (3) months of that event, appoint such number of new members as may be required to make up the minimum number of three (3) members.

QUORUM

The quorum of the Committee shall be two (2) of whom the majority of members present shall be independent Directors.

ATTENDANCE AND MEETINGS

The Committee may invite any member of the management, employees, other Directors and representatives of the internal and external auditors to be present at meetings of the Committee.

The Committee shall meet at least four (4) times a year and such additional meetings as the Chairman shall decide in order to fulfill its duties. In addition, the Chairman may call a meeting of the Committee if a request is made by any Committee member, the Company's Managing Director, or the internal or external auditors.

FUNCTIONS

The Committee shall, amongst others, discharge the following functions:-

(1) review the following and report the same to the Board of Directors :

- (a) with the external auditor, the audit plan;
- (b) with the external auditor, his evaluation of the system of internal controls;
- (c) with the external auditor, his audit report;
- (d) the assistance given by the employees of the Company to the external auditor;
- (e) the adequacy of the scope, functions, competency and resources of the internal audit functions and that it has the necessary authority to carry out its work;
- (f) the internal audit programme, processes, the results of the internal audit programme, processes or investigation undertaken and whether or not appropriate action is taken on the recommendations of the internal audit function;
- (g) review the risk management framework, processes and responsibilities and assess whether they provide reasonable assurance that risks are managed within tolerable ranges;
- (h) the quarterly results and year end financial statements, prior to the approval by the Board of Directors, focusing particularly on :-
  - (i) changes in or implementation of major accounting policy changes;
  - (ii) significant and unusual events; and
  - (iii) compliance with accounting standards and other legal requirements;
- (i) any related party transaction and conflict of interest situation that may arise within the Company or Group including any transaction, procedure or course of conduct that raises questions of management integrity;
- (j) any letter of resignation from the external auditors of the Company; and
- (k) whether there is reason (supported by grounds) to believe that the Company's external auditor is not suitable for re-appointment; and

(2) recommend the nomination of a person or persons as external auditors.

Audit Committee Report

PROCEDURE

The Committee may regulate its own procedure, in particular:-

(a) the calling of meetings;

(b) the notice to be given of such meetings;

(c) the voting and proceedings of such meetings;

(d) the keeping of minutes; and

(e) the custody, production and inspection of such minutes.

AUDIT COMMITTEE REPORT

(1) The Committee shall ensure that an Audit Committee Report be prepared at the end of each financial year that complies with sub-Rules (2) and (3) below.

(2) The Committee report must be clearly set out in the annual report of the Company.

(3) The Committee report shall include the following:-

(a) the composition of the Committee, including the name, designation (indicating the chairman) and directorship of the members (indicating whether the directors are independent or otherwise);

(b) the terms of reference of the Committee;

(c) the number of Committee meetings held during the financial year and details of attendance of each Committee member;

(d) a summary of the activities of the Committee in the discharge of its functions and duties for that financial year of the Company ; and

(e) a summary of the activities of the internal audit function or activity.

RIGHTS OF THE AUDIT COMMITTEE

The Committee shall, wherever necessary and reasonable for the performance of its duties in accordance with a procedure to be determined by the Board of Directors and at the cost of the Company:-

(a) have authority to investigate any matter within its terms of reference;

(b) have the resources which are required to perform its duties;

(c) have full and unrestricted access to any information pertaining to the Company;

(d) have direct communication channels with the external auditors and person(s) carrying out the internal audit function or activity;

(e) be able to obtain independent professional or other advice; and

(f) be able to convene meetings with the external auditors, the internal auditors or both, excluding the attendance of other directors and employees of the Company, whenever deemed necessary.

REPORTING OF BREACHES TO BURSA SECURITIES

Where the Committee is of the view that a matter reported by it to the Board of Directors of the Company has not been satisfactorily resolved resulting in a breach of the ACE LR, the Committee shall promptly report such matter to Bursa Securities.

REVIEW OF THE AUDIT COMMITTEE

The Board of Directors must review the term of office and performance of the Committee and each of its members at least once every 3 years to determine whether the Committee and members have carried out their duties in accordance with their terms of reference.

SECRETARY

The Secretary to the Committee shall be the company secretary.

SUMMARY OF ACTIVITY OF THE COMMITTEE

The Audit Committee had undertaken the following activities during the financial year ended 31 December 2012:

(i) reviewed the unaudited quarterly financial results for the quarters ended 31 December 2011, 31 March 2012, 30 June 2012, and 30 September 2012 for submission to the Board;

(ii) reviewed the draft audited financial statements for the financial year ended 31 December 2011 and its compliance to the financial reporting standards, and discussed with the external auditors in relation to audit issues, audit reports, assistance provided by the management, management letter;

(iii) reviewed the related party transactions, if any, arising within the Company and/or the Group;

(iv) reviewed the Statement on Allocation of Options Under the Employees Share Options Scheme ("ESOS");

(v) reviewed Chairman's Statement, Statement on Corporate Governance, Statement on Internal Control, Statement on Corporate Social Responsibility, and Audit Committee Report for inclusion in the Annual Report 2011;

(vi) reviewed the draft Statement in relation to the Proposed Renewal of the Authority for Share Buy-Back;

(vii) recommended to the Board the re-appointment of the external auditors for the financial year ended 31 December 2012 and their audit fees;

(viii) considered and approved the External Auditors' Audit Planning Memorandum for the financial year ended 31 December 2012;

(ix) reviewed the Internal Audit Strategy and Planning Memorandum for the financial year ended 31 December 2012; and

(x) reviewed the Internal Audit Report for the financial year ended 31 December 2012.

Audit Committee Report

INTERNAL AUDIT FUNCTION

For the financial year ended 31 December 2012, the Board and Audit Committee have appointed IBDC (Malaysia) Sdn Bhd, the outsourced professional firm for the establishment of an independent internal audit function which is in compliance with the ACE LR. The costs incurred for this internal audit function was RM15,000.

The internal audits were undertaken to provide independent assessments on the adequacy, efficiency and effectiveness of the Group's internal control systems in the assessment of potential risk exposures over key business processes within the Group. The Audit Committee has full and direct access to Internal Auditors and received reports on all internal audit engagements performed.

The internal audit provides assurance that adequate and effective internal controls are in place and relevant policies, procedures and guidelines and applicable laws and regulations are adhered to.

The Audit Committee reviews the audit reports and directs the Management for the necessary corrective actions and process improvements. The Management is responsible for ensuring that the recommendations are implemented accordingly.

SUMMARY OF ACTIVITY OF THE INTERNAL AUDIT FUNCTION

The internal audit function had reviewed the internal control systems of the Company for the year ended 31 December 2012 according to the risk-based internal audit plan which had been approved by the Audit Committee, which covered the following areas:

- Management & Financial Control
- Revenue Control – Invoicing process
- Expenditure Control – payment and expenses
- Procurement
- Credit Control and Collection
- Insurance Coverage
- Sales and Marketing
- Research and Development
- Property, Plant & Equipment Safeguards and Substantiation and Evaluation

ESOS

During the financial year, no allocation of share options was made by the Company pursuant to the ESOS and no share options was offered to and exercised by non-executive directors under the ESOS.

Additional
Compliance Information

SHARE BUYBACK

During the financial year ended 31 December 2012, the Company purchased a total of 1,072,700 ordinary shares of RM0.10 each of the issued share capital from the open market at an average price of RM0.450 per share. The total consideration for the share buy-back was RM482,836 and was financed by internally generated funds. All the shares purchased during the financial year ended 31 December 2012 had been retained as treasury shares, and the total number of shares retained as treasury shares as at 31 December 2012 was 2,847,600 ordinary shares of RM0.10 each.

Information on the shares purchased by the Company during the financial year ended 31 December 2012 are as follows:

Monthly Breakdown	No. of shares purchased and retained as treasury shares	Purchase Price Per Share (RM)		Average Cost Per Share	Total Consideration
		Lowest	Highest	(RM)	(RM)
February 2012	94,800	0.290	0.310	0.300	28,434
March 2012	665,000	0.415	0.510	0.461	306,415
April 2012	70,000	0.480	0.485	0.484	33,877
June 2012	90,000	0.430	0.470	0.449	40,414
August 2012	10,000	0.535	0.535	0.539	5,386
September 2012	60,000	0.495	0.510	0.504	30,262
October 2012	50,000	0.470	0.475	0.474	23,726
December 2012	32,900	0.430	0.435	0.435	14,322
Total	**1,072,700**			**0.450**	**482,836**

None of the treasury shares held were resold or cancelled during the financial year ended 31 December 2012.

OPTIONS, WARRANTS AND CONVERTIBLE SECURITIES

There are no options, warrants or convertible securities issued by the Company during the financial year in review.

AMERICAN DEPOSITORY RECEIPT ("ADR") OR GLOBAL DEPOSITORY RECEIPT ("GDR")

During the financial year in review, the Company did not sponsor any ADR or GDR programme.

SANCTIONS OR PENALTIES

There were no sanctions or penalties imposed on the Group, directors or management by the relevant regulatory bodies during the financial year in review.

NON-AUDIT FEES

There was no non-audit fees paid to the external auditors by the Group during the financial year in review.

VARIATION IN RESULTS

There was no significant variation between the financial results in the Annual Audited Financial Statements 2012 and the unaudited financial results for the year ended 31 December 2012 announced by the Company on 28 February 2013.

PROFIT ESTIMATES, FORECAST OR PROJECTION

The Company did not issue any profit estimates, forecast or projection for the financial year in review.

Additional Compliance Information

PROFIT GUARANTEE

The Company did not issue any profit guarantee during the financial year in review.

MATERIAL CONTRACT INVOLVING DIRECTORS AND SUBSTANTIAL SHAREHOLDERS

There were no material contracts involving directors and substantial shareholders during the financial year in review except for a Service Agreement dated 29 September 2004 entered into with Tiang Boon Hwa ("TBH") for the appointment of TBH to act as Managing Director or in such other capacity as the Company may designate at a salary of RM18,000 per month for a term commencing 1 October 2004 and subject to termination by either party giving 6 months notice in writing ("Term"). The Company shall have the discretion to terminate TBH's employment lawfully (without notice or on notice less than that required under the Term above), by paying to TBH a sum equal to RM2,000,000 in addition to his salary and value of contractual benefits due to him in respect of that part of the period of the Term, which the Company has not given to TBH or the unexpired part of such fixed term.

REVALUATION POLICY

The Company did not revalue any of its property, plant and equipment during the financial year in review.

CORPORATE SOCIAL RESPONSIBILITY ("CSR")

The Group understands the importance of its stakeholders, i.e. shareholders, employees, customers, suppliers, and local communities, in the successfulness of Company business. Pursuant to that, the Company will be constantly trying to balance the return of each of its stakeholders group. Above and beyond a continuous effort to maximize the wealth of its ordinary shareholders, the following actions have been conducted in Year 2012 to look to the needs of the broader stakeholder group and to take on a wider social responsibility:

Type of stakeholder	Action
Employees	Constant review on staff benefit and allowance and disseminate the decision via issuance of circulars, directives, rules & regulations or other instructions as a form of communication from management to employees. All confirmed employees are covered by Personal Accident Insurance, Group Hospitalisation Insurance and other medical benefits.
	Organisation of company trip, gatherings, sports activities and annual dinner for closer bonding among the Group's employees.
Customers	Continuous R&D efforts to improve quality of products.
	Involving customers in the Company's events to establish good relationship.
Suppliers	Close review on the Company's working capital management to maintain liquidity level required to repay its creditors on time.
	Involving suppliers in the Company's events to establish good relationship.
Environment and Community	During the Year 2012, the Company organized a Blood Donation Campaign and encouraged its Group employees to participate as well as the general public.
	The Group continues to provide practical training for students from various universities and polytechnics under its Industrial Internship Training to equip students with the necessary working skills and knowledge. In addition to that, the Group also provides simulated Stock Games to universities in collaboration with its panel of stockbroking clients in Malaysia, Singapore and Indonesia to create awareness, education and information on stock trading.
	Visit to an orphanage home and contribution of basic necessities to the home.

Financial Statements

29 Directors' Report

34 Statement by Directors

34 Statutory Declaration

35 Independent Auditors' Report

37 Statements of Financial Position

39 Statements of Comprehensive Income

40 Statements of Changes in Equity

42 Consolidated Statement of Cash Flows

44 Statement of Cash Flows

46 Notes to the Financial Statements

Directors' Report

The Directors are pleased to present their report together with the audited financial statements of the Group and of the Company for the financial year ended 31 December 2012.

PRINCIPAL ACTIVITIES

The principal activities of the Company are investment holding, carrying on the business as researcher and developer of software packages, provider of design, programming, consultancy services and related activities and management of investment properties.

The principal activities of its subsidiary companies are disclosed in Note 5 to the financial statements.

There have been no significant changes in the nature of these activities during the financial year.

FINANCIAL RESULTS

	Group RM	Company RM
Net profit for the financial year - attributable to equity holders of the Company	1,788,880	2,933,994

In the opinion of the Directors, the results of the operations of the Group and of the Company for the financial year have not been substantially affected by any item, transaction or event of a material and unusual nature.

There has not arisen in the interval between the end of the financial year and the date of this report any item, transaction or event of a material and unusual nature likely to affect substantially the results of the operations of the Group and of the Company for the financial year in which this report is made.

DIVIDENDS

The Board of Directors does not recommend any dividend in respect of the financial year under review.

RESERVES AND PROVISIONS

There were no material transfers to or from reserves and provisions during the financial year under review other than those disclosed in the financial statements.

ISSUE OF SHARES AND DEBENTURES

During the financial year, the issued and paid-up share capital of the Company was increased from RM29,893,900 to RM29,973,780 by way of the issuance of 798,800 new ordinary shares of RM0.10 each for cash pursuant to the Company's Employee Share Option Scheme at weighted exercise price of RM0.23 per ordinary share.

The new ordinary shares issued during the financial year ranked pari passu in all respects with the existing ordinary shares of the Company.

There were no issue of debentures by the Company during the financial year under review.

EMPLOYEE SHARE OPTION SCHEME

The N2N Connect Berhad ("N2N") Employee Share Option Scheme ("ESOS") was approved by shareholders at the General Meetings on 13 October 2005 and 18 October 2005. The ESOS was implemented on 23 November 2005 and has expired on 22 November 2010. Pursuant to the Board's approval on 24 August 2010, the tenure of the ESOS has been extended for a further 5 years, expiring on 22 December 2015.

The salient features and other terms of the ESOS are disclosed in Note 27 to the financial statements.

No other options were granted to any person to take up the unissued shares of the Company during the financial year.

Details of the options granted to Directors are disclosed in the section on Directors' Interests in this report.

REPURCHASE OF SHARES

At the Tenth Annual General Meeting held on 20 June 2011, the shareholders approved the share buy-back of up to 10% or up to 29,893,900 ordinary shares of the issued and paid-up share capital of the Company. The mandate given by the shareholders at the Annual General Meeting ("AGM") held on 15 June 2012 to renew the Company's plan to repurchase its own shares will expire at the forthcoming AGM and an ordinary resolution will be tabled at the forthcoming AGM for shareholders to renew the mandate for another year.

During the duration of share buy-back, the Company had purchased the following ordinary shares of its issued and paid-up share capital from the open market:

In the financial year	No. of ordinary shares RM	Average price per share	Total cost RM
2011	1,774,900	0.24	433,668
2012	1,072,700	0.45	482,836
	2,847,600		916,504

The repurchase transactions were financed by internally generated funds. The repurchased shares are being held as treasury shares and carried at cost in accordance with the requirements of section 67A of the Companies Act, 1965. The Company has not made any share cancellation or resold its treasury shares during the financial year.

At 31 December 2012, the total number of treasury shares held by the Company is 2,847,600 ordinary shares.

DIRECTORS

The Directors who served since the date of the last report are as follows:

Chua Tiong Hoong
Lai Su Ping
Tiang Boon Hwa
Cho Wai Loon
Izlan bin Izhab
Tan Boon Leng

DIRECTORS' INTERESTS

Details of holdings and deemed interests in the share capital and options over the shares of the Company or its related corporations by the Directors in office at the end of the financial year, according to the register required to be kept under Section 134 of the Companies Act, 1965, were as follows:

	No. of ordinary shares of RM0.10 each			
	At 1.1.2012	Acquired	Disposed	At 31.12.2012
N2N Connect Holdings Sdn. Bhd.				
Direct interest				
Chua Tiong Hoong	20	–	–	20
Lai Su Ping	280	–	–	280
Tiang Boon Hwa	646	–	–	646
N2N Connect Berhad				
Direct interest				
Chua Tiong Hoong	779,354	–	–	779,354
Lai Su Ping	10,096,844	20,000	–	10,116,844
Tiang Boon Hwa	10,584,444	34,000	–	10,618,444
Cho Wai Loon	200,000	–	–	200,000
Tan Boon Leng	1,232,700	–	–	1,232,700
Indirect interest				
Chua Tiong Hoong [1]	364,000	–	–	364,000
Lai Su Ping [2]	146,033,954	34,000	-	146,067,954
Tiang Boon Hwa [3]	145,546,354	20,000	–	145,566,354

	No. of options over ordinary shares of RM0.10 each (ESOS)			
	At 1.1.2012	Exercised	Lapsed	At 31.12.2012
N2N Connect Berhad				
Chua Tiong Hoong	1,900,000	–	–	1,900,000
Lai Su Ping	1,860,000	–	–	1,860,000
Tiang Boon Hwa	2,180,000	–	–	2,180,000

Notes:

[1] *Deemed interest through his spouse's direct interest in the Company pursuant to Section 134(12)(c) of the Companies Act, 1965 in compliance with Companies (Amendment) Act 2007.*

[2] *Deemed interest through her spouse's direct interest in the Company pursuant to Section 134(12)(c) of the Companies Act, 1965 in compliance with Companies (Amendment) Act 2007 and her direct interest in the holding company, N2N Connect Holdings Sdn. Bhd. Pursuant to Section 6A of the Companies Act, 1965.*

[3] *Deemed interest through his spouse's direct interest in the Company pursuant to Section 134(12)(c) of the Companies Act, 1965 in compliance with Companies (Amendment) Act 2007 and his direct interest in the holding company, N2N Connect Holdings Sdn. Bhd. Pursuant to Section 6A of the Companies Act, 1965.*

By virtue of their interests in the shares of the Company, Lai Su Ping and Tiang Boon Hwa are also deemed to have interests in the shares of all its subsidiary companies to the extent the Company has an interest.

En. Izlan bin Izhab who holds office at the end of the financial year does not have any interest in the ordinary shares and options of the Company or its related corporations during the financial year under review.

DIRECTORS' BENEFITS

Since the end of the previous financial year, no Director of the Company has received or become entitled to receive any benefit (other than a benefit included in the aggregate amount of emoluments received or due and receivable by Directors as shown in the financial statements) by reason of a contract made by the Company or a related corporation with the Director or with a firm of which the Director is a member, or with a company in which the Director has a substantial financial interest.

Neither during nor at the end of the financial year, was the Company or its subsidiary companies a party to any arrangement the object of which is to enable the Directors of the Company to acquire benefits by means of the acquisition of shares in or debentures of the Company or any other body corporate, other than those arising from the share options granted under the N2N Connect Berhad ESOS.

OTHER STATUTORY INFORMATION

(a) Before the statements of comprehensive income and statements of financial position of the Group and of the Company were made out, the Directors took reasonable steps:

(i) to ascertain that action had been taken in relation to the writing off of bad debts and the making of allowance for doubtful debts and satisfied themselves that all known bad debts had been written off and that adequate allowance had been made for doubtful debts; and

(ii) to ensure that any current assets which were unlikely to realise their value in the ordinary course of business were written down to an amount which they might be expected so to realise.

(b) At the date of this report, the Directors are not aware of any circumstances which would render:

(i) the amount written off for bad debts or the allowance for doubtful debts in the financial statements of the Group and of the Company inadequate to any substantial extent;

(ii) the values attributed to the current assets in the financial statements of the Group and of the Company misleading;

(iii) any amount stated in the financial statements of the Group and of the Company misleading; and

(iv) adherence to the existing method of valuation of assets or liabilities of the Group and of the Company misleading or inappropriate.

(c) No contingent or other liabilities of the Group and of the Company have become enforceable, or are likely to become enforceable within the period of twelve months after the end of the financial year which, in the opinion of the Directors, will or may affect the ability of the Group and of the Company to meet their obligations as and when they fall due.

(d) At the date of this report, there does not exist:

(i) any charge on the assets of the Group or of the Company which has arisen since the end of the financial year which secures the liabilities of any other person; and

(ii) any contingent liability in respect of the Group or of the Company which has arisen since the end of the financial year.

Directors' Report

HOLDING COMPANY

The Directors regard N2N Connect Holdings Sdn Bhd, a company incorporated in Malaysia, as the holding company.

SIGNIFICANT EVENTS

The significant events are disclosed in Note 38 to the financial statements.

SUBSEQUENT EVENTS

The subsequent events are disclosed in Note 39 to the financial statements.

AUDITORS

The auditors, Morison Anuarul Azizan Chew, have expressed their willingness to accept re-appointment.

Signed in accordance with a resolution of the Directors.

CHUA TIONG HOONG **TIANG BOON HWA**

KUALA LUMPUR
9 April 2013

Statement
By Directors
Pursuant to Section 169(15) of the Companies Act, 1965

We, **CHUA TIONG HOONG** and **TIANG BOON HWA**, being two of the Directors of **N2N CONNECT BERHAD**, do hereby state that, in the opinion of the Directors, the financial statements set out on pages 37 to 91 are drawn up in accordance with Malaysian Financial Reporting Standards, International Financial Reporting Standards and the provisions of the Companies Act, 1965 in Malaysia so as to give a true and fair view of the state of affairs of the Group and of the Company as at 31 December 2012 and of the results of their operations and the cash flows of the Group and of the Company for the financial year ended on that date.

Signed in accordance with a resolution of the Directors.

CHUA TIONG HOONG **TIANG BOON HWA**

KUALA LUMPUR
9 April 2013

Statutory
Declaration
Pursuant to Section 169(16) of the Companies Act, 1965

I, **TIANG BOON HWA**, being the Director primarily responsible for the financial management of **N2N CONNECT BERHAD**, do solemnly and sincerely declare that the financial statements set out on pages 37 to 91 are to the best of my knowledge and belief, correct and I make this solemn declaration conscientiously believing the same to be true and by virtue of the provisions of the Statutory Declarations Act, 1960.

Subscribed and solemnly declared by)
the abovenamed **TIANG BOON HWA**)
at **KUALA LUMPUR** in the Federal)
Territory this 9 April 2013)

TIANG BOON HWA

Before me,

COMMISSIONER FOR OATHS

Independent Auditors' Report to the Members of N2N Connect Berhad

REPORT ON THE FINANCIAL STATEMENTS

We have audited the accompanying financial statements of N2N Connect Berhad, which comprise the statements of financial position as at 31 December 2012 of the Group and of the Company, and the statements of comprehensive income, statements of changes in equity and statements of cash flows of the Group and of the Company for the financial year then ended, and a summary of significant accounting policies and other explanatory notes, as set out on pages 37 to 91.

Directors' Responsibility for the Financial Statements

The Company's Directors are responsible for the preparation of financial statements that give a true and fair view in accordance with Malaysian Financial Reporting Standards, International Financial Reporting Standards and the provisions of the Companies Act, 1965 in Malaysia. The Directors are responsible for such internal control as the Directors determine are necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with approved standards on auditing in Malaysia. These standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance whether the financial statements are free of material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditors' judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditors consider internal control relevant to Company's preparation of the financial statements that give a true and fair view in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control. An audit also involves evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the Directors, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Opinion

In our opinion, the financial statements are properly drawn up in accordance with Malaysian Financial Reporting Standards, International Financial Reporting Standards and the provisions of the Companies Act, 1965 in Malaysia so as to give a true and fair view of the financial position of the Group and of the Company as at 31 December 2012 and of their financial performance and cash flows for the financial year then ended.

REPORT ON OTHER LEGAL AND REGULATORY REQUIREMENTS

In accordance with the requirements of the Companies Act, 1965 in Malaysia, we also report on the following:

(a) In our opinion, the accounting and other records and the registers required by the Act to be kept by the Company and by its subsidiary companies of which we have acted as auditors have been properly kept in accordance with the provisions of the Act.

(b) We have considered the financial statements and the independent auditors' reports of the subsidiary company which we have not acted as auditors, which are indicated in Note 5 to the financial statements.

(c) We are satisfied that the financial statements of the subsidiary companies that are consolidated with the Company's financial statements are in form and content appropriate and proper for the purposes of the preparation of the consolidated financial statements of the Group and have received satisfactory information and explanations as required by us for those purposes.

(d) The independent auditors' reports on the financial statements of the subsidiary companies were not subject to any qualification or any adverse comment made under Section 174(3) of the Act.

Independent Auditors' Report

to the Members of N2N Connect Berhad

OTHER REPORTING RESPONSIBILITIES

The supplementary information set out in Note 40 is disclosed to meet the requirements of Bursa Malaysia Securities Berhad and is not part of the financial statements. The Directors are responsible for the preparation of the supplementary information in accordance with Guidance on Special Matter No. 1, Determination of Realised and Unrealised Profits or Losses in the Context of Disclosure Pursuant to Bursa Malaysia Securities Berhad Listing Requirements, as issued by the Malaysian Institute of Accountants ("MIA Guidance") and the directive of Bursa Malaysia Securities Berhad. In our opinion, the supplementary information is prepared, in all material respects, in accordance with the MIA Guidance and the directive of Bursa Malaysia Securities Berhad.

OTHER MATTERS

1. As stated in Note 2(a) to the financial statements, N2N Connect Berhad adopted Malaysian Financial Reporting Standards on 1 January 2012 with a transition date of 1 January 2011. This standard was applied retrospectively by Directors to the comparative information in the consolidated financial statements, including the statements of financial position as at 31 December 2011 and 1 January 2011, and the statements of comprehensive income, statements of changes in equity and statements of cash flows for the year ended 31 December 2011 and related disclosures. We were not engaged to report on the restated comparative information and it is unaudited. Our responsibilities as part of our audit of the financial statements of the Group and of the Company for the year ended 31 December 2012 have, in these circumstances, included obtaining sufficient appropriate audit evidence that the opening balances as at 1 January 2012 do not contain misstatements that materially affect the financial position as of 31 December 2012 and financial performance and cash flows for the year then ended.

2. This report is solely made to the member of the Company, as a body, in accordance with Section 174 of the Companies Act, 1965 in Malaysia and for no other purpose. We do not assume any responsibility to any other person for the content of this report.

MORISON ANUARUL AZIZAN CHEW
Firm Number: AF 001977
Chartered Accountants

TAN POH LING
Approved Number: 2564/03/15 (J)
Partner of Firm

KUALA LUMPUR
9 April 2013

Statements of Financial Position as at 31 December 2012

	Note	Group 2012 RM	Group Restated 2011 RM	Group Restated 1.1.2011 RM	Company 2012 RM	Company 2011 RM	Company 1.1.2011 RM
Non-Current Assets							
Property, plant and equipment	3	26,602,383	7,885,003	12,917,844	20,876,669	4,518,648	9,902,194
Investment properties	4	19,077,525	–	–	19,077,525	–	–
Investment in subsidiary companies	5	–	–	–	2,095,000	2,095,000	2,095,000
Intangible asset	6	10,025,235	8,999,375	7,799,064	9,258,040	8,999,375	7,799,064
		55,705,143	16,884,378	20,716,908	51,307,234	15,613,023	19,796,258
Current Assets							
Inventories	7	–	2,150	2,150	–	2,150	2,150
Trade receivables	8	7,203,982	4,739,330	5,484,842	840,069	1,687,273	2,353,936
Other receivables	9	735,023	15,026,293	755,254	483,391	14,806,701	600,771
Amount owing by holding company	10	44,804	29,483	12,898	40,496	29,483	12,898
Amount owing by subsidiary companies	11	–	–	–	13,228,846	7,649,155	7,558,233
Amount owing by a related company	12	212,590	–	–	–	–	–
Tax recoverable		–	35,631	16,331	–	35,631	16,331
Marketable securities	13	56,246	857,787	12,301,172	56,246	857,787	12,301,172
Deposits with licensed banks	14	10,968	166,525	7,857	10,968	166,525	7,857
Cash and bank balances		3,395,141	2,674,310	2,723,159	1,490,518	475,260	402,560
		11,658,754	23,531,509	21,303,663	16,150,534	25,709,965	23,255,898
Current Liabilities							
Trade payables	15	1,283,857	461,974	372,723	259,715	449,579	279,030
Other payables	16	2,369,316	1,197,358	1,147,555	792,301	409,724	406,539
Amount owing to directors	17	78,559	86,212	36,384	78,559	86,212	36,384
Bank borrowings	18	6,958,239	–	–	6,958,239	–	–
Tax payable		1,442	–	–	1,442	–	–
		10,691,413	1,745,544	1,556,662	8,090,256	945,515	721,953
Net current assets		967,341	21,785,965	19,747,001	8,060,278	24,764,450	22,533,945
		56,672,484	38,670,343	40,463,909	59,367,512	40,377,473	42,330,203

The accompanying notes form an integral part of the financial statements.

Statements of Financial Position

as at 31 December 2012

	Note	Group 2012 RM	Group Restated 2011 RM	Group Restated 1.1.2011 RM	Company 2012 RM	Company 2011 RM	Company 1.1.2011 RM
Financed By:							
Share capital	19	29,973,780	29,893,900	29,893,900	29,973,780	29,893,90	29,893,900
Share premium		5,332,850	5,229,405	5,229,405	5,332,850	5,229,405	5,229,405
Treasury shares	20	(916,504)	(433,668)	–	(916,504)	(433,668)	–
Exchange reserve	21	131,606	79,129	–	–	–	–
Retained profits		5,551,478	3,762,598	5,311,476	8,621,830	5,687,836	7,206,898
Total equity - attributable to equity holders of the Company		40,073,210	38,531,364	40,434,781	43,011,956	40,377,473	42,330,203
Non-Current Liabilities							
Bank borrowings	18	16,355,556	–	–	16,355,556	–	–
Deferred tax liabilities	22	243,718	138,979	29,128	–	–	–
		16,599,274	138,979	29,128	16,355,556	–	–
		56,672,484	38,670,343	40,463,909	59,367,512	40,377,473	42,330,203

The accompanying notes form an integral part of the financial statements.

Statements of Comprehensive Income

for the Financial Year ended 31 December 2012

	Note	Group 2012 RM	Group 2011 RM	Company 2012 RM	Company 2011 RM
Revenue	23	26,610,623	20,719,540	14,159,124	12,835,932
Cost of sales		(9,963,550)	(8,364,901)	(2,640,240)	(3,774,388)
Gross profit		16,647,073	12,354,639	11,518,884	9,061,544
Other operating income		435,861	573,438	1,227,769	929,734
Administration expenses		(13,657,528)	(14,154,475)	(8,280,872)	(11,297,711)
Finance Cost		(1,477,794)	–	(1,477,794)	–
Profit/(Loss) before taxation	24	1,947,612	(1,226,398)	2,987,987	(1,306,433)
Taxation	25	(158,732)	(322,480)	(53,993)	(212,629)
Net profit/(loss) for the financial year attributable to equity holders of the Company		1,788,880	(1,548,878)	2,933,994	(1,519,062)
Other comprehensive income/(loss):					
- Exchange differences arising from translation of foreign operations		52,477	79,129	–	–
Total comprehensive income/(loss)for the financial year attributable to equity holders of the Company		1,841,357	(1,469,749)	2,933,994	(1,519,062)
Earnings/(Loss) per share attributable to equity holders of the Company (sen)					
Basic	26(a)	0.60	(0.52)		
Fully diluted	26(b)	0.58	(0.52)		

The accompanying notes form an integral part of the financial statements.

Statements of Changes in Equity

for the Financial Year ended 31 December 2012

	Note	Attributable to Equity Holders of the Company					
			Non-distributable			Distributable	
		Share Capital RM	Share Premium RM	Treasury Shares RM	Exchange Reserve RM	Retained Profits RM	Total RM
Group							
At 1 January 2012							
- as previously stated		29,893,900	5,229,405	(433,668)	220,801	3,620,926	38,531,364
- effect of adopting MFRS 1	33	–	–	–	(141,672)	141,672	–
At 1 January 2012, restated		29,893,900	5,229,405	(433,668)	79,129	3,762,598	38,531,364
Issue of shares pursuant to:							
- ESOS		79,880	103,445	–	–	–	183,325
Shares purchased during the year held as treasury shares	20	–	–	(482,836)	–	–	(482,836)
Net profit for the financial year		–	–	–	–	1,788,880	1,788,880
Other comprehensive income		–	–	–	52,477	–	52,477
Total comprehensive income for the financial year		–	–	–	52,477	1,788,880	1,841,357
At 31 December 2012		29,973,780	5,332,850	(916,504)	131,606	5,551,478	40,073,210
At 1 January 2011							
- as previously stated		29,893,900	5,229,405	–	213,885	5,097,591	40,434,781
- effect of adopting MFRS 1	33	–	–	–	(213,885)	213,885	–
At 1 January 2011, restated		29,893,900	5,229,405	–	–	5,311,476	40,434,781
Shares purchased during the year held as treasury shares	20	–	–	(433,668)	–	–	(433,668)
Net loss for the financial year		–	–	–	–	(1,548,878)	(1,548,878)
Other comprehensive income		–	–	–	79,129	–	79,129
Total comprehensive loss for the financial year		–	–	–	79,129	(1,548,878)	(1,469,749)
At 31 December 2011		29,893,900	5,229,405	(433,668)	79,129	3,762,59	38,531,364

The accompanying notes form an integral part of the financial statements.

Statements of Changes in Equity

for the Financial Year ended 31 December 2012

		Non-distributable		Distributable	
	Share Capital RM	Share Premium RM	Treasury Shares RM	Retained Profits RM	Total RM
Company					
At 1 January 2012	29,893,900	5,229,405	(433,668)	5,687,836	40,377,473
Issue of shares pursuant to:					
- ESOS	79,880	103,445	–	–	183,325
Shares purchased during the year held as treasury shares	–	–	(482,836)	–	(482,836)
Total comprehensive income for the financial year	–	–	–	2,933,994	2,933,994
At 31 December 2012	29,973,780	5,332,850	(916,504)	8,621,830	43,011,956
At 1 January 2011	29,893,900	5,229,405	–	7,206,898	42,330,203
Shares purchased during the year held as treasury shares	–	–	(433,668)	–	(433,668)
Total comprehensive loss for the financial year	–	–	–	(1,519,062)	(1,519,062)
At 31 December 2011	29,893,900	5,229,405	(433,668)	5,687,836	40,377,473

The accompanying notes form an integral part of the financial statements.

Consolidated
Statement of Cash Flows for the Financial Year ended 31 December 2012

	Note	2012 RM	2011 RM
Cash Flows From Operating Activities			
Profit/(Loss) before taxation		1,947,612	(1,226,398)
Adjustments for:			
Amortisation of intangible asset		1,668,237	1,363,591
Depreciation of property, plant and equipment		4,683,483	6,765,082
Depreciation of investment properties		185,406	–
Property, plant and equipment written-off		21,378	–
Bad debts written off		–	1,094
Gain on disposal of marketable securities		–	(142,373)
Loss on strike-off of a subsidiary company		–	2,599
Unrealised foreign exchange loss		48,411	72,213
(Gain)/Loss on disposal of property, plant and equipment		(13,850)	25
Interest expenses		1,477,794	–
Interest income		(8,055)	(218,019)
Operating profit before working capital changes		10,010,416	6,617,814
(Increase)/Decrease in working capital			
Inventories		2,150	–
Trade receivables		(2,415,265)	767,712
Other receivables		14,293,811	(14,272,481)
Trade payables		796,164	82,311
Other payables		1,143,981	35,893
Amount owing to directors		(7,653)	49,828
Amount owing by related company		(212,590)	–
Amount owing by holding company		(15,321)	(16,585)
		13,585,277	(13,353,322)
Cash generated from/(used in) operations		23,595,693	(6,735,508)
Interest paid		(1,477,794)	–
Interest received		8,055	218,019
Tax paid		(41,934)	(231,929)
Tax refund		25,014	–
		(1,486,659)	(13,910)
Net cash from/(used in) operating activities		22,109,034	(6,749,418)
Cash Flows From Investing Activities			
Computer software development cost		(2,694,097)	(2,563,902)
Purchase of property, plant and equipment		(23,414,359)	(1,707,049)
Purchase of investment properties		(19,262,931)	–
Proceeds from disposal of property, plant and equipment		19,000	350
Shares buy back		(482,836)	(433,668)
Cash outflow on strike-off of a subsidiary company	5(c)	–	(2)
Net changes in marketable securities		801,541	10,876,658
Proceeds from disposal of marketable securities		–	709,100
Net cash (used in)/from investing activities		(45,033,682)	6,881,487

Consolidated Statement of Cash Flows

for the Financial Year ended 31 December 2012

	2012 RM	2011 RM
Cash Flows From Financing Activities		
Drawdown of borrowings	18,400,000	–
Proceeds from issue of shares	183,325	–
Net cash from financing activities	18,583,325	–
Net (decrease)/increase in cash and cash equivalents	(4,341,323)	132,069
Effect of exchange rate changes	(7,198)	(22,250)
Cash and cash equivalents at beginning of the financial year	2,840,835	2,731,016
Cash and cash equivalents at end of the financial year	(1,507,686)	2,840,835
Cash and cash equivalents at end of the financial year comprises:		
Deposits with licensed banks	10,968	166,525
Cash and bank balances	3,395,141	2,674,310
Bank overdraft	(4,913,795)	–
	(1,507,686)	2,840,835

The accompanying notes form an integral part of the financial statements.

Statement of Cash Flows

for the Financial Year ended 31 December 2012

	2012 RM	2011 RM
Cash Flows From Operating Activities		
Profit/(Loss) before taxation	2,987,987	(1,306,433)
Adjustments for:		
Amortisation of intangible asset	1,580,002	1,363,591
Depreciation of property, plant and equipment	3,157,703	5,687,939
Depreciation of investment properties	185,406	–
Property, plant and equipment written-off	21,378	–
Gain on disposal of property, plant and equipment	(13,850)	–
Bad debts written off	–	1,094
Gain on disposal of marketable securities	–	(142,373)
Interest expenses	1,477,794	–
Interest income	(7,889)	(218,019)
Unrealised foreign exchange gain	(56,042)	(73,104)
Operating profit before working capital changes	9,332,489	5,312,695
(Increase)/Decrease in working capital		
Inventories	2,150	–
Trade receivables	847,204	666,653
Other receivables	14,323,310	(14,205,930)
Trade payables	(189,864)	170,549
Other payables	382,577	3,185
Amount owing to directors	(7,653)	49,828
Amount owing by subsidiary companies	(5,523,649)	(18,912)
Amount owing by holding company	(11,013)	(16,585)
	9,823,062	(13,351,212)
Cash generated from/(used in) operations	19,155,551	(8,038,517)
Interest paid	(1,477,794)	–
Interest received	7,889	218,019
Tax paid	(41,934)	(231,929)
Tax refund	25,014	–
	(1,486,825)	(13,910)
Net cash from/(used in) operating activities	17,668,726	(8,052,427)
Cash Flows From Investing Activities		
Computer software development cost	(1,838,667)	(2,563,902)
Purchase of property, plant and equipment	(19,542,252)	(304,393)
Purchase of investment properties	(19,262,931)	–
Proceeds from disposal of property, plant and equipment	19,000	–
Shares buy back	(482,836)	(433,668)
Net changes in marketable securities	801,541	10,876,658
Proceeds from disposal of marketable securities	–	709,100
Net cash (used in)/from investing activities	(40,306,145)	8,283,795

Consolidated Statement of Cash Flows

for the Financial Year ended 31 December 2012

	2012 RM	2011 RM
Cash Flows From Financing Activities		
Drawdown of bank borrowings	18,400,000	–
Proceeds from issue of shares	183,325	–
Net cash from financing activities	18,583,325	–
Net (decrease)/increase in cash and cash equivalents	(4,054,094)	231,368
Cash and cash equivalents at beginning of the financial year	641,785	410,417
Cash and cash equivalents at end of the financial year	(3,412,309)	641,785
Cash and cash equivalents at end of the financial year comprises:		
Deposits with licensed bank	10,968	166,525
Cash and bank balances	1,490,518	475,260
Bank overdraft	(4,913,795)	–
	(3,412,309)	641,785

The accompanying notes form an integral part of the financial statements.

Notes to the
Financial Statements

1. CORPORATE INFORMATION

The principal activities of the Company are investment holding, carrying on the business as researcher and developer of software packages, provider of design, programming, consultancy services and related activities and management of investment properties.

The principal activities of the subsidiary companies are disclosed in Note 5 to the financial statements.

The Company is a public limited liability company, incorporated under the Companies Act, 1965 and domiciled in Malaysia, and is listed on the Access, Certainty and Efficiency ("ACE") Market of Bursa Malaysia Securities Berhad.

The registered office of the Company is located at 3rd Floor, No. 17, Jalan Ipoh Kecil, 50350 Kuala Lumpur.

The principal place of business of the Company is located at Wisma N2N, Level 9, Tower 2, Avenue 3, No. 8, Jalan Kerinchi, 59200 Kuala Lumpur.

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES

(a) Basis of accounting

The financial statements of the Group and of the Company have been prepared on the historical cost convention unless otherwise indicated in the accounting policies below and in compliance with Malaysian Financial Reporting Standards, International Financial Reporting Standards and the provisions of the Companies Act, 1965 in Malaysia.

During the financial year, the Group and the Company have adopted Malaysian Financial Reporting Standards ("MFRSs") issued by the Malaysian Accounting Standards Board ("MASB") on 19 November 2011, which are mandatory for annual financial periods beginning on or after 1 January 2012. As these are the Group's and the Company's first financial statements prepared in accordance with MFRSs, the requirements of MFRS 1 First-time Adoption of Malaysian Financial Reporting Standards have been applied.

In the previous financial years, the financial statements of the Group and of the Company were prepared in accordance with Financial Reporting Standards ("FRSs"). The financial and disclosure impact on the transition to MFRSs are disclosed in Note 33 to the financial statements.

The Directors of the Group and the Company anticipate that the application of the following Malaysian Financial Reporting Standards ("MFRSs") which are mandatory and will be effective for financial periods as stated below will have no material impact on the financial statements of the Group and of the Company, except as disclosed in Note 34 to the financial statements:

		Effective date for financial periods beginning on or after
Amendments to MFRS 101	Presentation of items of Other Comprehensive Income	1 July 2012
MFRS 10	Consolidated Financial Statements	1 January 2013
MFRS 11	Joint Arrangements	1 January 2013
MFRS 12	Disclosure of Interests in Other Entities	1 January 2013
MFRS 13	Fair Value Measurement	1 January 2013
MFRS 119	Employee Benefits	1 January 2013
MFRS 127	Separate Financial Statements *(IAS 27 as amended by IASB in June 2011)*	1 January 2013

		Effective date for financial periods beginning on or after
MFRS 128	Investments in Associates and Joint Ventures *(IAS 28 as amended by IASB in June 2011)*	1 January 2013
IC Interpretation 20	Stripping Costs in the Production Phase of a Surface Mine	1 January 2013
Amendments to MFRS 1	Government Loans	1 January 2013
Amendments to MFRS 10, MFRS 11 and MFRS 12	Consolidated Financial Statements, Joint Arrangements and Disclosure of Interests in Other Entities: Transition Guidance	1 January 2013
Amendments to MFRS 7	Disclosures - Offsetting Financial Assets and Financial Liabilities	1 January 2013
Annual improvements 2009-2011 Cycle		1 January 2013
Amendments to MFRS 132	Offsetting Financial Assets and Financial Liabilities	1 January 2014
Amendments to MFRS 10, MFRS 12 and MFRS 127: Investment Entities		1 January 2014
MFRS 9	Financial Instruments *(IFRS 9 issued by IASB in November 2009)* Financial Instruments *(IFRS 9 issued by IASB in October 2010)*	1 January 2015

(b) Functional and presentation currency

These financial statements are presented in Ringgit Malaysia (RM), which is the Company's functional currency.

(c) Significant accounting estimates and judgements

Estimates, assumptions concerning the future and judgements are made in the preparation of the financial statements. They affect the application of the Group's accounting policies, reported amounts of assets, liabilities, income and expenses, and disclosures made. They are assessed on an on-going basis and are based on historical experience and other relevant factors, including expectations of future events that are believed to be reasonable under the circumstances.

(I) The key assumptions concerning the future and other key sources of estimation or uncertainty at the statement of financial position date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are set out below:

(i) Depreciation of property, plant and equipment

The costs of property, plant and equipment of the Group and of the Company are depreciated on a straight-line basis over the useful lives of the assets. Management estimates the useful lives of the property, plant and equipment as stated in Note 2(e)(iv). These are common life expectancies applied in the industry. Changes in the expected level of usage and technological developments could impact the economic useful lives and the residual values of these assets, therefore future depreciation charges could be revised. The carrying amount of the Group's and of the Company's property, plant and equipment at 31 December 2012 are stated in Note 3 to the financial statements.

(ii) Amortisation of intangible asset

The costs of intangible asset of the Group and of the Company are depreciated on a straight-line basis over the useful life of the asset. Management estimates the useful life of the computer software as stated in Note 2(h). These are common life expectancies applied in the industry. Changes in the expected level of usage and technological developments could impact the economic useful life and the residual value of this asset, therefore future depreciation charges could be revised. The carrying amount of the Group's and of the Company's intangible asset at 31 December 2012 is stated in Note 6 to the financial statements.

(iii) Income taxes

The Group has exposure to income taxes in numerous jurisdictions. There are certain transactions and computations for which the ultimate tax determination is uncertain during the ordinary course of business. Significant judgement is involved especially in determining tax base allowances and deductibility of certain expenses in determining the Group-wide provision for income taxes. The Group recognises liabilities for expected tax issues based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters is different from the amounts that were initially recognised, such differences will impact the income tax and deferred tax provisions in the period in which such determination is made.

(II) The following are the judgements made by the management in the process of applying the Group's accounting policies that have significant effect on the amounts recognised in the financial statements:

(i) Impairment of loans and receivables

The policy for impairment of loans and receivables of the Group and the Company is based on the evaluation of collectability and aged analysis of accounts and on the management's judgement. A considerable amount of judgement is required in assessing the ultimate realisation of these receivables, including the current creditworthiness and the past collection history of each customer. If the financial conditions of customers with which the Group and the Company deals were to deteriorate, resulting in an impairment of the ability to make payments, additional impairment may be required.

(ii) Classification of financial assets

The Group classifies financial assets as held-to-maturity investments when it has a positive intention and ability to hold the investment to maturity. Management exercises judgement based on the Group's financial risk management policy to determine whether the financial assets are to be classified as held-to-maturity.

(iii) Classification between investment properties and property, plant and equipment

The Group and the Company has developed certain criteria based on MFRS 140 in making judgement whether a property qualifies as an investment property. Investment property is a property held to earn rentals or for capital appreciation or both.

The properties of the Group and the Company comprise a portion that is held to earn rentals or for capital appreciation and another portion that is held for use in the production or supply of goods or services or for administrative purposes. If these portions could be sold separately (or leased out separately under a finance lease), the Group and the Company would account for the portions separately. If the portions could not be sold separately, the property is an investment property only if an insignificant portion is held for use in the production or supply of goods or services or for administrative purposes. Judgement is made on an individual property basis to determine whether ancillary services are so significant that a property does not qualify as investment property.

(iv) Estimation of fair value of properties

In the absence of current prices in an active market for similar properties, the Group and the Company considers information from a variety of sources, including:

(i) current prices in an active market for properties of a different nature, condition or location, adjusted to reflect those differences; or

(ii) recent prices of similar properties based on less active market, with adjustments to reflect any changes in economic conditions since the date of the transactions that occurred at those prices.

(d) Basis of consolidation

The consolidated financial statements include the financial statements of the Company and its subsidiary companies made up to the end of the financial year. Investments in subsidiary companies are stated at cost less impairment losses. The policy of the recognition and measurement of impairment losses is in accordance with Note 2(g).

(i) Subsidiary companies

Subsidiary companies are entities (including special purpose entities) over which the Group has power to govern the financial and operating policies, generally accompanying a shareholding of more than one half of the voting rights. The existence and effect of potential voting rights that are currently exercisable or convertible are considered when assessing whether the Group controls another entity.

The acquisition method of accounting is used to account for the acquisition of subsidiary companies. The cost of an acquisition is measured as the fair value of the assets given, equity instruments issued or liabilities incurred or assumed at the date of exchange. Identifiable assets acquired and liabilities and contingent liabilities assumed attributable to the acquirer in a business combination are measured initially at their fair values on the date of acquisition.

Acquisition related costs incurred are expensed and included in the administration expenses. The difference between the acquisition cost and the fair values of the subsidiary companies' net assets is reflected as goodwill or reserve on consolidation as appropriate.

Subsidiary companies are consolidated from the date on which control is transferred to the Group to the date on which that control ceases.

If the business combination is achieved in stages, the Group's previously held equity interest in the acquiree is remeasured to fair value at the acquisition date and the resulting gain or loss, if any, is recognised in profit or loss.

Any contingent consideration to be transferred by the Group will be recognised at fair value at the acquisition date. Subsequent changes in the fair value of the contingent consideration which is deemed to be an asset or liability, will be recognised in accordance with MFRS139 either in profit or loss or as a change to other comprehensive income. If the contingent consideration is classified as equity, it will not be remeasured. Subsequent settlement is accounted for within equity. In instances where the contingent consideration does not fall within the scope of MFRS139, it is measured in accordance with the appropriate MFRS.

(ii) Transactions eliminated on consolidation

Intra-group balances, and any unrealised income and expenses arising from intra-group transactions, are eliminated in full in preparing the consolidated financial statements.

(iii) Changes in Group composition

A change in the ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction. If the Group loses control over a subsidiary, it:

- Derecognises the assets (including goodwill) and liabilities of the subsidiary;
- Derecognises the carrying amount of any non-controlling interest;
- Derecognises the cumulative translation differences, recorded in equity;
- Recognises the fair value of the consideration received;
- Recognises the fair value of any investment retained as an associate, joint venture or financial asset;
- Recognises any surplus or deficit in profit or loss;
- Reclassifies the Group's share of components previously recognised in other comprehensive income to profit or loss or retained earnings, as appropriate.

(e) Property, plant and equipment

(i) Recognition and measurement

Property, plant and equipment are stated at cost less accumulated depreciation and accumulated impairment losses. The policy for the recognition and measurement of impairment losses is in accordance with Note 2(g).

Cost includes expenditures that are directly attributable to the acquisition of the asset. The cost of self-constructed assets includes the cost of materials and direct labour, any other cost directly attributable to bringing the asset to working condition for its intended use and the costs of dismantling and removing the items and restoring the site on which they are located.

When significant parts of an item of property, plant and equipment have different useful lives, they are accounted for as separate items (major components) of property, plant and equipment.

(ii) Reclassification to investment properties

When the use of a property changes from owner-occupied to investment property, the property is reclassified as investment property and accounted for in accordance with Note 2(f).

(iii) Subsequent costs

The cost of replacing part of an item of property, plant and equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Company and its cost can be measured reliably. The costs of the day-to-day servicing of property, plant and equipment are recognised in the statement of comprehensive income as incurred.

(iv) Depreciation

Depreciation is recognised in the statement of comprehensive income on a straight-line basis over the estimated useful lives of each part of an item of property, plant and equipment. Leasehold land and building are amortised over the period of the lease. The estimated useful lives for the current and comparative periods are as follows:

Computer equipment	3 to 5 years
Office equipment	10 years
Furniture and fittings	10 years
Renovation	10 years
Motor vehicles	5 years

The depreciable amount is determined after deducting the residual value.

Depreciation methods, useful lives and residual values are reassessed at each financial year end.

Gains or losses on disposals are determined by comparing net disposal proceeds with carrying amount and are included in profit/(loss) from operations.

(f) Investment Properties

Investment properties are properties which are owned or held under a leasehold interest to earn rental income or for capital appreciation or for both. Properties that are occupied by the Group and the Company are accounted for as owner-occupied rather than as investment properties. Investment properties are measured initially at cost, including related transaction costs. Subsequent to initial recognition, investment properties are stated at cost less accumulated depreciation and any accumulated impairment losses, consistent with the accounting policy for property, plant and equipment as stated in accounting policy note 2(e).

Depreciation is recognised in the statement of comprehensive income on a straight-line basis over the estimated useful life of the properties. Leasehold land and building are amortised over the period of the lease.

Investment properties are derecognised when either they have been disposed of or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal. Any gains or losses on the retirement or disposal of an investment property are recognised in the statement of comprehensive income in the year in which they arise.

(g) Impairment of non-financial assets

The carrying amounts of assets are reviewed at each reporting date to determine whether there is any indication of impairment.

If any such indication exists then the asset's recoverable amount is estimated. The recoverable amount is estimated at each reporting date or more frequently when indications of impairment are identified.

An impairment loss is recognised if the carrying amount of an asset or its cash-generating unit exceeds its recoverable amount unless the asset is carried at a revalued amount, in which case the impairment loss is recognised directly against any revaluation surplus for the asset to the extent that the impairment loss does not exceed the amount in the revaluation surplus for that same asset. A cash-generating unit is the smallest identifiable asset group that generates cash flows that largely are independent from other assets and groups. Impairment losses are recognised in the statement of comprehensive income in the period in which it arises. Impairment losses recognised in respect of cash-generating units are allocated first to reduce the carrying amount of any goodwill allocated to the units (groups of units) and then to reduce the carrying amount of the other assets in the unit (groups of units) on a pro rata basis.

The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

An impairment loss for an asset other than goodwill is reversed if, and only if, there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognised. The carrying amount of an asset other than goodwill is increased to its revised recoverable amount, provided that this amount does not exceed the carrying amount that would have been determined (net of amortisation or depreciation) had no impairment loss been recognised for the asset in prior years. A reversal of impairment loss for an asset other than goodwill is recognised in statement of comprehensive income, unless the asset is carried at revalued amount, in which case, such reversal is treated as a revaluation increase.

(h) Intangible asset

Acquired computer software licenses are capitalised on the basis of the costs incurred to acquire and bring to use of the specific software. These costs are amortised over their estimated useful lives.

Costs associated with developing or maintaining computer software programmes are recognised as an expense when incurred. Cost that are directly associated with identifiable and unique software products controlled by the Group, and that will probably generate economic benefits exceeding costs beyond one year, are recognised as intangible assets. Costs include employee costs incurred as a result of developing software and an appropriate portion of relevant of overheads.

Costs which enhances or extends the performance of computer software programmes beyond their original specifications is recognised as a capital improvement and added to the original cost of software.

Computer software development costs recognised as assets are amortised using straight line method over their estimated useful lives, not exceeding a period of 10 years.

(i) Inventories

Inventories are valued at the lower of cost and net realisable value after adequate allowance has been made for all deteriorated, damaged, obsolete or slow-moving inventories. Cost is determined using the first in, first out method.

Net realisable value is the estimate of the selling price in the ordinary course of business, less the costs of completion and selling expenses.

(j) Cash and cash equivalents

Cash and cash equivalents include cash and bank balances, deposits and other short term highly liquid investments that are readily convertible to cash and are subject to insignificant risk of changes in value. For the purpose of the statement of cash flows, cash and cash equivalents are presented net of bank overdrafts and pledged deposits, if any.

(k) Foreign currencies

(i) Foreign currency transactions and balances

Foreign currency transactions are translated into the functional currency using the exchange rates prevailing at the dates of the transactions. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation at year-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in the statement of comprehensive income.

Non-monetary items initially denominated in foreign currencies, which are carried at historical cost are translated using historical rate as of the date of acquisition and non-monetary items which are carried at fair value are translated using the exchange rate that existed when the values were determined.

(ii) Foreign operations

The results and financial position of all the group entities (none of which has the currency of a hyperinflationary economy) that have a functional currency different from the presentation currency are translated into the presentation currency as follows:

(i) assets and liabilities for each statement of financial position presented are translated at the closing rate at the date of that statement of financial position;

(ii) income and expenses for each statement of comprehensive income are translated at average exchange rates (unless this average is not a reasonable approximation of the cumulative effect of the rates prevailing on the transaction dates, in which case income and expenses are translated at the dates of the transactions); and

(iii) all resulting exchange differences are recognised as a separate component of equity.

On consolidation, exchange differences arising from the translation of the net investment in foreign entities, and of borrowings, are taken to shareholders' equity. When a foreign operation is sold, such exchange differences are recognised in the statement of comprehensive income as part of the gain or loss on sale.

Goodwill and fair value adjustments arising on the acquisition of foreign subsidiary companies are treated as assets and liabilities and translated at the rates of exchange ruling at the transaction dates.

The closing exchange rates used for each unit of the main foreign currencies in the Group and in the Company are as follows:

	2012 RM	2011 RM
Singapore Dollar	2.5030	2.4417
Indonesia Rupiah	0.0317	0.0349
US Dollar	3.0583	3.1770
Euro Dollar	4.0585	–

(l) Financial assets

Financial assets are recognised in the statement of financial position when the Group and the Company have become a party to the contractual provisions of the instruments.

The Group classifies its financial assets in the following categories: financial assets at fair value through profit or loss, loans and receivables, held-to-maturity investments and available-for-sale financial assets. The classification depends on the purpose for which the financial assets were acquired. Management determines the classification of its financial assets at initial recognition and re-evaluates this at every reporting date except for financial assets at fair value through profit or loss.

(i) Financial assets at fair value through profit or loss

Financial assets at fair value through profit or loss are financial assets that are designated or held for trading. A financial asset is classified in this category if acquired principally for the purpose of selling in the short term. Derivatives are classified as held for trading unless they are designated as hedges. Assets in this category are classified as current assets.

Financial assets at fair value through profit or loss are initially recognised at fair value and transaction costs are expensed in the statement of comprehensive income. After initial recognition, financial assets at fair value through profit or loss are subsequently measured at fair value.

(ii) Loans and receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are unquoted in an active market. They arise when the Group provides money, goods or services directly to a debtor with no intention of trading the receivable.

Loans and receivables in the statements of financial position consist of trade and other receivables, marketable securities and inter-company loans and advances. These are classified as current assets, except for those having maturity dates later than 12 months after the reporting date which are classified as non-current assets.

Subsequent to initial recognition, loans and receivables are carried at amortised cost using the effective interest method. Gains and losses are recognised in statement of comprehensive income when the loans and receivables are derecognised or impaired, and through the amortisation process.

(iii) Held-to-maturity investments

Held-to-maturity investments are non-derivative financial assets with fixed or determinable payments and fixed maturities that the Group's management has positive intention and ability to hold to maturity.

Subsequent to initial recognition, held-to maturity investments are carried at amortised cost using the effective interest method. Gains and losses are recognised in statement of comprehensive income when the held-to-maturity investments are derecognised or impaired, and through the amortisation process.

(iv) Available-for-sale financial assets

Available-for-sale financial assets are non-derivatives that are either designated in this category or not classified in any of the other categories. They are included in non-current assets unless management intends to dispose of the investment within 12 months of the statement of financial position date.

Investments are initially recognised at fair value plus transaction costs that are directly attributable to their acquisitions. Investment in equity instruments whose fair value cannot be reliably measured are valued at cost less impairment loss.

After initial recognition, available-for-sale financial assets are subsequently measured at fair value. Any gains and losses from changes in fair value of the financial assets are recognised in other comprehensive income, except that impairment losses, foreign exchange gains and losses on monetary instruments and interest calculated using the effective interest method are recognised in statement of comprehensive income.

A financial asset is derecognised where the contractual right to receive cash flows from the asset has expired. On derecognition of a financial asset in its entirety, the difference between the carrying amount and the sum of the consideration received and any cumulative gain or loss that had been recognised in other comprehensive income is recognised in statement of comprehensive income.

Gains or losses arising from changes in the fair value of the financial assets at fair value through profit or loss category are presented in the statement of comprehensive income in the period in which they arise. Dividend income from financial assets at fair value through profit or loss is recognised in the statement of comprehensive income as part of other operating income when the Group's right to receive payments is established.

(m) Impairment of financial assets

A financial asset is considered to be impaired if objective evidence indicates that one or more events have had a negative effect on the estimated future cash flows of that asset. For an equity instrument, a significant or prolonged declined in fair value below its cost is also considered objective evidence of impairment.

An impairment loss in respect of a financial asset measured at amortised cost is calculated as the difference between its carrying amount, and the present value of the estimated future cash flows discounted at the original effective interest rate.

Individually significant financial assets are tested for impairment on an individual basis. The remaining financial assets are assessed collectively in groups that share similar credit risk characteristics.

All impairment losses are recognised in statement of comprehensive income.

An impairment loss is reversed if the reversal can be related objectively to an event occurring after the impairment loss was recognised. For financial assets measured at amortised costs, the reversal is recognised in statement of comprehensive income.

(n) Financial liabilities

Short-term borrowings, trade and other payables are classified as financial liabilities in the statement of financial position as there is a contractual obligation to make cash payments to another entity and is contractually obliged to settle the liabilities in cash.

Financial liabilities are initially recognised at fair value plus transaction costs, and are subsequently measured at amortised cost using the effective interest method, except when the Group designates the liabilities at fair value through profit or loss. Financial liabilities are designated at fair value through profit or loss when:

(i) they are acquired or incurred for the purpose of selling or repurchasing in the near term;

(ii) the designation eliminates or significantly reduces measurement or recognition inconsistencies that would otherwise arise from measuring financial liabilities or recognising gains or losses on them; or

(iii) the financial liability contains an embedded derivative that would need to be separately recorded.

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires.

(o) Income taxes

Income tax on the profit or loss for the financial year comprises current and deferred tax. Current tax is the expected amount of income taxes payable in respect of the taxable profit for the financial year and is measured using the tax rates that have been enacted at the statement of financial position date.

Deferred tax is provided for, using the liability method, on temporary differences at the statement of financial position date between the tax bases of assets and liabilities and their carrying amounts in the financial statements. Deferred tax liabilities are recognised for all taxable temporary differences and deferred tax assets are recognised for all deductible temporary differences, unused tax losses and unused tax credits to the extent that it is probable that future taxable profit will be available against which the deductible temporary differences, unused tax losses and unused tax credits can be utilised. Deferred tax is not recognised if the temporary difference arises from goodwill or negative goodwill or from the initial recognition of an asset or liability in a transaction which is not a business combination and at the time of the transaction, affects neither accounting profit nor taxable profit.

Deferred tax is measured at the tax rates that are expected to apply in the period when the asset is realised or the liability is settled, based on tax rates that have been enacted or substantively enacted at the statement of financial position date. Deferred tax is recognised in the statement of comprehensive income, except when it arises from a transaction which is recognised directly in equity, in which case the deferred tax is also charged or credited directly in equity, or when it arises from a business combination that is an acquisition, in which case the deferred tax is included in the resulting goodwill or negative goodwill.

(p) Revenue recognition

(i) Goods sold and services rendered

Revenue from sales of goods and services is measured at the fair value of the consideration receivable and is recognised when significant risk and rewards have been transferred to the buyer, or upon performance of services, net of sales taxes and discounts.

(ii) Rental income

Rental income from investment property is recognised on a straight-line basis over the term of the lease.

(iii) Interest income

Interest income is recognised on a time proportion basis that takes into account the effective yield on the asset.

(iv) Dividend income

Dividend income is recognised when the shareholder's right to receive payment is established.

(q) Employee benefits

(i) Short term employee benefits

Wages, salaries, bonuses and social security contributions are recognised as an expense in the financial year in which the associated services are rendered by employees of the Company and its subsidiary companies. Short term accumulating compensated absences such as paid annual leave are recognised when services are rendered by employees that increase their entitlement to future compensation absences. Short term non-accumulating compensated absences such as sick and medical leave are recognised when the absences occur.

The expected cost of accumulating compensated absences is measured as additional amount expected to be paid as a result of the unused entitlement that has accumulated at the statement of financial position date.

(ii) Defined contribution plans

As required by law, companies in Malaysia make contributions to the Employees Provident Fund ("EPF"). The Group's foreign subsidiary company makes contributions to its respective country's statutory pension scheme. Such contributions are recognised as an expense in the statement of comprehensive income as incurred.

(iii) Employee Share Option Scheme ("ESOS")

The N2N ESOS, an equity-settled, share-based compensation plan, allows the Company and its subsidiary company's employees to acquire ordinary shares of the Company. The total fair value of share options granted to employees is recognised as an employee cost with a corresponding increase in the share option reserve within equity over the vesting period and taking into account the probability that the options will vest. The fair value of share options is measured at grant date, taking into account, if any, the market vesting conditions upon which the options were granted but excluding the impact of any non-market vesting conditions. Non-market vesting conditions are included in assumptions about the number of options that are expected to become exercisable on vesting date.

At each statement of financial position date, the Group revises its estimates of the number of options that are expected to become exercisable on vesting date. It recognised the impact of the revision of original estimates, if any, in the statement of comprehensive income, and a corresponding adjustment to equity over the remaining vesting period. The equity amount is recognised in the share option reserve until the option is exercised, upon which it will be transferred to share premium, or until the option expires, upon which it will be transferred directly to retained earnings.

The proceeds received net of any directly attributable transaction costs are credited to equity when the options are exercised.

(r) Equity instruments

Ordinary shares are classified as equity. Dividends on ordinary shares are recognised in equity in the period in which they are declared.

The transaction costs of an equity transaction are accounted for as a deduction from equity, net of tax. Equity transaction costs comprise only those incremental external costs directly attributable to the equity transaction which would otherwise have been avoided.

(s) Segment reporting

For management purposes, the Group is organised into operating segment based on their business activities. An operating segment's operating results are reviewed regularly by the chief operating decision maker, who will make decisions to allocate resources to the segments and assess the segment performance.

(t) Treasury shares

When shares of the Company, that have not been cancelled, recognised as equity are reacquired, the amount of consideration paid is recognised directly in equity. Reacquired shares are classified as treasury shares and presented as a deduction from total equity. No gain or loss is recognised in the statements of comprehensive income on the purchase, sale, issue or cancellation of treasury shares. When treasury shares are reissued by resale, the difference between the sales consideration and the carrying amount is recognised in equity.

3. PROPERTY, PLANT AND EQUIPMENT

Group	Long term leasehold land and building RM	Computer equipment RM	Office equipment RM	Furniture and fittings RM	Renovation RM	Motor vehicles RM	Total RM
Cost							
At 1.1.2012	–	39,260,865	274,637	309,037	504,329	308,008	40,656,876
Additions	17,837,569	4,111,863	109,907	210,863	1,144,157	–	23,414,359
Disposal	–	–	(6,000)	–	–	(45,026)	(51,026)
Written-off	–	(913,972)	–	–	(28,049)	–	(942,021)
Exchange differences	–	64,167	500	329	–	–	64,996
At 31.12.2012	17,837,569	42,522,923	379,044	520,229	1,620,437	262,982	63,143,184
Accumulated depreciation							
At 1.1.2012	–	31,946,737	130,262	155,225	231,641	308,008	32,771,873
Charge for the financial year	171,687	4,332,710	31,341	40,505	107,240	–	4,683,483
Disposal	–	–	(850)	–	–	(45,026)	(45,876)
Written-off	–	(913,972)	–	–	(6,671)	–	(920,643)
Exchange differences	–	51,761	128	75	–	–	51,964
At 31.12.2012	171,687	35,417,236	160,881	195,805	332,210	262,982	36,540,801
Carrying amount							
At 31.12.2012	17,665,882	7,105,687	218,163	324,424	1,288,227	–	26,602,383
Cost							
At 1.1.2011		37,496,682	274,181	309,273	504,329	308,008	38,892,473
Additions		1,707,049	–	–	–	–	1,707,049
Written-off		–	–	(536)	–	–	(536)
Exchange differences		57,134	456	300	–	–	57,890
At 31.12.2011		39,260,865	274,637	309,037	504,329	308,008	40,656,876
Accumulated depreciation							
At 1.1.2011		25,269,964	103,164	124,552	181,208	295,741	25,974,629
Charge for the financial year		6,644,533	27,040	30,809	50,433	12,267	6,765,082
Written-off		–	–	(161)	–	–	(161)
Exchange differences		32,240	58	25	–	–	32,323
At 31.12.2011		31,946,737	130,262	155,225	231,641	308,008	32,771,873
Carrying amount							
At 1.1.2011		12,226,718	171,017	184,721	323,121	12,267	12,917,844
At 31.12.2011		7,314,128	144,375	153,812	272,688	–	7,885,003

3. PROPERTY, PLANT AND EQUIPMENT (CONT'D)

Company	Long term leasehold land and building RM	Computer equipment RM	Office equipment RM	Furniture and fittings RM	Renovation RM	Motor vehicles RM	Total RM
Cost							
At 1.1.2012	–	33,126,692	254,710	289,670	504,329	308,008	34,483,409
Additions	17,837,569	251,927	100,792	207,807	1,144,157	–	19,542,252
Disposal	–	–	(6,000)	–	–	(45,026)	(51,026)
Written-off	–	(913,972)	–	–	(28,049)	–	(942,021)
At 31.12.2012	17,837,569	32,464,647	349,502	497,477	1,620,437	262,982	53,032,614
Accumulated depreciation							
At 1.1.2012	–	29,148,329	126,087	150,696	231,641	308,008	29,964,761
Charge for the financial year	171,687	2,812,098	28,770	37,908	107,240	–	3,157,703
Disposal	–	–	(850)	–	–	(45,026)	(45,876)
Written-off	–	(913,972)	–	–	(6,671)	–	(920,643)
At 31.12.2012	171,687	31,046,455	154,007	188,604	332,210	262,982	32,155,945
Carrying amount							
At 31.12.2012	17,665,882	1,418,192	195,495	308,873	1,288,227	–	20,876,669
Cost							
At 1.1.2011	–	32,822,299	254,710	289,670	504,329	308,008	34,179,016
Additions	–	304,393	–	–	–	–	304,393
At 31.12.2011	–	33,126,692	254,710	289,670	504,329	308,008	34,483,409
Accumulated depreciation							
At 1.1.2011	–	23,577,019	101,031	121,823	181,208	295,741	24,276,822
Charge for the financial year	–	5,571,310	25,056	28,873	50,433	12,267	5,687,939
At 31.12.2011	–	29,148,329	126,087	150,696	231,641	308,008	29,964,761
Carrying amount							
At 1.1.2011	–	9,245,280	153,679	167,847	323,121	12,267	9,902,194
At 31.12.2011	–	3,978,363	128,623	138,974	272,688	–	4,518,648

The long term leasehold land and building have been pledged to a licensed bank as security for credit facilities granted to the Company as disclosed in Note 18 to the financial statements.

The remaining lease period of the long term leasehold land is 95 years.

4. INVESTMENT PROPERTIES

	Group/Company		
	2012 RM	2011 RM	1.1.2011 RM
Leasehold land and buildings			
Cost			
At 1 January	–	–	–
Addition during the financial year	19,262,931	–	–
At 31 December	19,262,931	–	–
Accumulated depreciation			
At 1 January	–	–	–
Charge for the financial year	185,406	–	–
At 31 December	185,406	–	–
Carrying amount	19,077,525	–	–
Fair value	20,768,378	–	–

The above investment properties have been pledged to a licensed bank as security for credit facilities granted to the Company as disclosed in Note 18 to the financial statements.

The remaining lease period of the investment properties is 95 years.

5. INVESTMENT IN SUBSIDIARY COMPANIES

(a) Investment in subsidiary companies

	Company		
	2012 RM	2011 RM	1.1.2011 RM
Unquoted shares, at cost			
In Malaysia	1,000,002	1,000,002	1,000,002
Outside Malaysia	1,392,000	1,392,000	1,392,000
	2,392,002	2,392,002	2,392,002
Impairment loss	(297,002)	(297,002)	(297,002)
	2,095,000	2,095,000	2,095,000

(b) The subsidiary companies and shareholding therein are as follows:

Name of company	Country of incorporation	Equity interest 2012 %	Equity interest 31.12.2011 %	Equity interest 1.1.2011	Principal activities
* N2N Connect Pte. Ltd.	Singapore	100	100	100	Provide consultancy services, sales, marketing and related activities
N2N Global Solutions Sdn. Bhd.	Malaysia	100	100	100	Research and development of software packages and provision of design, programming, consultancy services and related services
NGN Connection Sdn. Bhd.	Malaysia	100	100	100	Provision of managed network services, consultancy services, sales, marketing and related activities
Getemo Sdn. Bhd.	Malaysia	–	–	100	Strike-off pursuant to Section 308 of the Companies Act 1965

* Subsidiary company not audited by Morison Anuarul Azizan Chew.

(c) Strike-off of a subsidiary company

The strike-off of the subsidiary company does not have any effects on the financial results of the Group.

The effect of the strike off on the financial position of the Group during the financial year is as follows:

	Group 2012 RM	Group 31.12.2011 RM	Group 1.1.2011 RM
Other receivables	–	3,397	–
Other payables	–	(800)	–
Cash in hand	–	2	–
Net assets	–	2,599	–

The fair value of the assets and liabilities of subsidiary company strike off is as follows:

	Group		
	2012 RM	31.12.2011 RM	1.1.2011 RM
Other receivables	–	3,397	–
Other payables	–	(800)	–
Cash in hand	–	2	–
Group's share of net assets	–	2,599	–
Loss on strike-off of a subsidiary company	–	(2,599)	–
	–	–	–
Less: cash in hand	–	(2)	–
Net cash outflow on strike-off of a subsidiary company	–	(2)	–

6. INTANGIBLE ASSET

		Group	
	Note	2012 RM	2011 RM
Computer software			
Cost			
At 1 January		14,797,493	12,233,591
Addition during the financial year	28	2,694,097	2,563,902
At 31 December		17,491,590	14,797,493
Accumulated amortisation			
At 1 January		5,798,118	4,434,527
Amortised during the financial year, included in cost of sales		1,668,237	1,363,591
At 31 December		7,466,355	5,798,118
Carrying amount			
At 1 January		8,999,375	7,799,064
At 31 December		10,025,235	8,999,375

	Note	Company 2012 RM	2011 RM
Computer software			
Cost			
At 1 January		14,797,493	12,233,591
Addition during the financial year	28	1,838,667	2,563,902
At 31 December		16,636,160	14,797,493
Accumulated amortisation			
At 1 January		5,798,118	4,434,527
Amortised during the financial year, included in cost of sales		1,580,002	1,363,591
At 31 December		7,378,120	5,798,118
Carrying amount			
At 1 January		8,999,375	7,799,064
At 31 December		9,258,040	8,999,375

(a) Impairment test for intangible asset

Computer software is subject to impairment testing by allocation to the software service cash-generating unit ("CGU").

(b) Key assumptions used to determine recoverable amount

The recoverable amount of a CGU is determined based on value in use calculations using cash flow projections based on financial budgets approved by the Directors covering a five-year period. A pre-tax discount rate of 7.85% per annum was applied to the cash flow projections, after taking into consideration the expected rate of return and various risk relating to the CGU.

7. INVENTORIES

	Group/Company 2012 RM	31.12.2011 RM	1.1.2011 RM
At cost			
Finished goods	–	2,150	2,150

8. TRADE RECEIVABLES

	Group		
	2012 RM	31.12.2011 RM	1.1.2011 RM
Trade receivables	7,203,982	29,225,292	29,978,804
Allowance for impairment	–	(24,485,962)	(24,493,962)
	7,203,982	4,739,330	5,484,842

	Company		
	2012 RM	31.12.2011 RM	1.1.2011 RM
Trade receivables	840,069	26,173,235	26,839,888
Allowance for impairment	–	(24,485,962)	(24,485,962)
	840,069	1,687,273	2,353,926

The Group and the Company's normal trade credit terms range from 30 to 90 days (2011: 30 to 90 days).

The ageing analysis is as follows:

	Group		
	2012 RM	31.12.2011 RM	1.1.2011 RM
Neither past due nor impaired	2,712,697	1,408,682	2,407,300
1 to 30 days past due but not impaired	1,467,370	674,318	534,982
31 to 60 days past due but not impaired	1,018,684	682,748	181,869
61 to 90 days past due but not impaired	590,606	364,961	102,064
91 to 120 days past due but not impaired	601,572	350,524	416,109
More than 121 days past due but not impaired	813,053	1,223,471	1,802,506
	4,491,285	3,296,022	3,037,530
Individually impaired	–	24,520,588	24,533,974
	7,203,982	29,225,292	29,978,804

	Company		
	2012 RM	31.12.2011 RM	1.1.2011 RM
Neither past due nor impaired	208,585	300,212	372,672
1 to 30 days past due but not impaired	34,953	267,049	191,547
31 to 60 days past due but not impaired	182,652	226,620	32,872
61 to 90 days past due but not impaired	31,091	51,093	29,637
91 to 120 days past due but not impaired	28,103	190,991	34,709
More than 121 days past due but not impaired	354,685	616,682	1,652,477
	631,484	1,352,435	1,941,242
Individually impaired	–	24,520,588	24,525,974
	840,069	26,173,235	26,839,888

Trade receivables that are neither past due nor impaired are creditworthy debtors with good payment records with the Group and the Company. These debtors are mostly long term customers with no history of default in payments.

The Group's and the Company's trade receivables that are past due at the reporting date but not impaired relate mainly to customers who have never defaulted on payments but are slow paymasters, hence, periodically monitored.

Trade receivables that are individually determined to be impaired at the reporting date relate to customers with significant delay in repayment.

Movements in allowance for impairment during the financial year are as follows:

	Group		Company	
	2012 RM	2011 RM	2012 RM	2011 RM
At beginning of the financial year	24,485,962	24,493,962	24,485,962	24,485,962
Written-off	(24,485,962)	(8,000)	(24,485,962)	–
At end of the financial year	–	24,485,962	–	24,485,962

9. OTHER RECEIVABLES

	Group		
	2012 RM	31.12.2011 RM	1.1.2011 RM
Other receivables	354,628	351,773	361,059
Deposits	283,614	347,939	313,249
Deposit for purchase of office building	–	12,600,000	–
Prepayments	96,781	1,726,581	80,946
	735,023	15,026,293	755,254

	Company		
	2012 RM	31.12.2011 RM	1.1.2011 RM
Other receivables	301,857	320,719	350,221
Deposits	162,184	240,196	233,252
Deposit for purchase of office building	–	12,600,000	–
Prepayments	19,350	1,645,786	17,298
	483,391	14,806,701	600,771

10. AMOUNT OWING BY HOLDING COMPANY

(a) The Directors regard N2N Connect Holdings Sdn Bhd, a company incorporated in Malaysia, as the holding company.

(b) This represents unsecured interest free advances which are repayable on demand.

11. AMOUNT OWING BY SUBSIDIARY COMPANIES

This represents unsecured interest free advances which are repayable on demand.

12. AMOUNT OWING BY A RELATED COMPANY

This represents unsecured interest free advances which are repayable on demand.

13. MARKETABLE SECURITIES

	Group/Company		
	2012 RM	31.12.2011 RM	1.1.2011 RM
Held for trading investment			
Quoted shares in Malaysia	–	–	566,727
Quoted unit trusts in Malaysia	56,246	857,787	11,734,445
	56,246	857,787	12,301,172

The market value of the quoted unit trusts is disclosed in Note 36 to the financial statements.

14. DEPOSITS WITH LICENSED BANKS

Interest rates on deposits with licensed banks range from 0.77% to 2.72% (31.12.2011: 2.19% to 2.92%, 1.1.2011: 2.65%) per annum and have average maturity period of 1 to 4 days (31.12.2011/1.1.2011: 1 to 4 days).

15. TRADE PAYABLES

The normal trade credit terms granted to the Group and the Company range from 15 to 90 days (31.12.2011/1.1.2011: 15 to 90 days).

16. OTHER PAYABLES

	Group		
	2012 RM	31.12.2011 RM	1.1.2011 RM
Other payables	1,020,244	480,754	655,936
Accruals	1,270,646	716,604	491,619
Deposit received	78,426	–	–
	2,369,316	1,197,358	1,147,555

	Company		
	2012 RM	31.12.2011 RM	1.1.2011 RM
Other payables	367,964	10,686	185,349
Accruals	345,911	399,038	221,190
Deposit received	78,426	–	–
	792,301	409,724	406,539

17. AMOUNT OWING TO DIRECTORS

This represents unsecured interest free advances which are repayable on demand.

18. BANK BORROWINGS

	Group/Company		
	2012 RM	31.12.2011 RM	1.1.2011 RM
Secured			
Term loan	18,400,000	–	–
Bank overdraft	4,913,795	–	–
	23,313,795	–	–
Analysed as:			
Repayable within twelve months			
Term loan	2,044,444	–	–
Bank overdraft	4,913,795	–	–
	6,958,239	–	–
Repayable after twelve months			
Term loan	16,355,556	–	–
	23,313,795	–	–

The above credit facilities obtained from a licensed bank are secured on the following:

(a) fixed charge on the Company's long term leasehold land and building and investment properties;

(b) assignment of Rental Account and Rental Income arising from the investment properties;

(c) assignment of Revenue Account and Revenue Proceeds arising from the investment properties; and

(d) assignment of property purchase agreement and property power of attorney over the long term leasehold land and buildings and investment properties.

The term loan is repayable by 107 equal monthly instalments of RM170,370 each and a final instalment of RM170,410, commencing from the first day of the month immediately following the last drawing date when the term loan facility has been fully drawdown or 3 months from 25 October 2011, whichever is earlier.

Maturity of borrowings is as follows:

	Group/Company		
	2012	31.12.2011	1.1.2011
	RM	RM	RM
Within one year	6,958,239	–	–
Between one and two years	2,044,440	–	–
Between two and five years	6,133,320	–	–
After five years	8,177,796	–	–
	23,313,795	–	–

Range of interest rates during the financial year is as follows:

	Group/Company		
	2012	31.12.2011	1.1.2011
	%	%	%
Term loan	6.60	–	–
Bank overdraft	7.85	–	–

19. SHARE CAPITAL

	Group/Company			
	2012	2011	2012	2011
	Number of Ordinary Shares		RM	RM
Ordinary shares of RM0.10 each:				
Authorised				
At 1 January/31 December	500,000,000	500,000,000	50,000,000	50,000,000
Issued and fully paid				
At 1 January	298,939,000	298,939,000	29,893,900	29,893,900
Issued during the financial year	798,800	–	79,880	–
At 31 December	299,737,800	298,939,000	29,973,780	29,893,900

During the financial year, the issued and paid-up share capital of the Company was increased from RM29,893,900 to RM29,973,780 by way of the issuance of 798,800 new ordinary shares of RM0.10 each for cash pursuant to the Company's Employee Share Option Scheme at weighted exercise price of RM0.23 per ordinary share.

The new ordinary shares issued during the financial year ranked pari passu in all respects with the existing ordinary shares of the Company.

Of the total 299,737,800 (2011: 298,939,000) issued and fully paid ordinary shares, 2,847,600 (2011: 1,774,900) ordinary shares are held as treasury shares by the Company. At 31 December 2012, the number of ordinary shares in issue after deducting treasury shares held is 296,890,200 (2011: 297,164,100) ordinary shares of RM1.00 each.

20. TREASURY SHARES

	Group/Company		
	2012 RM	31.12.2011 RM	1.1.2011 RM
At 1 January	433,668	–	–
Shares purchased during the financial year	482,836	433,668	–
At 31 December	916,504	433,668	–
No. of ordinary shares at RM0.10 each	2,847,600	1,774,900	–

During the financial year, the Company purchased a total of 1,072,700 (2011: 1,774,900) ordinary shares of its issued share capital from the open market at a total cost of RM482,836 (2011: RM433,668). The average price paid for the shares purchased was RM0.45 (2011: RM0.24) per share. The repurchase transactions were financed by internally generated funds. The repurchased shares were being held as treasury shares and carried at cost in accordance with the requirements of section 67A of the Companies Act, 1965. Treasury shares had no rights to voting, dividends and participation in other distribution.

21. EXCHANGE RESERVE

The exchange reserve represents exchange differences arising from the translation of the financial statements of foreign operations whose functional currencies are different from that of the Group's presentation currency.

22. DEFERRED TAX LIABILITIES

		Group	
	Note	2012 RM	2011 RM
At 1 January		138,979	29,128
Recognised in statements of comprehensive income	25	114,762	95,137
(Over)/Under provision in prior year		(10,023)	14,714
At 31 December		243,718	138,979

Presented after appropriate offsetting are as follows:

	Group		
	2012 RM	31.12.2011 RM	1.1.2011 RM
Deferred tax liabilities	907,956	647,929	240,809
Deferred tax assets	(664,238)	(508,950)	(211,681)
	243,718	138,979	29,128

The components and movements of deferred tax liabilities and assets prior to offsetting are as follows:

Deferred tax liabilities of the Group:

	Accelerated capital allowances RM
At 1 January 2012	647,929
Recognised in statements of comprehensive income	260,027
At 31 December 2012	907,956
At 1 January 2011	240,809
Recognised in statements of comprehensive income	407,120
At 31 December 2011	647,929

Deferred tax assets of the Group:

	Unutilised capital allowances RM
At 1 January 2012	(508,950)
Recognised in statements of comprehensive income	(155,288)
At 31 December 2012	(664,238)
At 1 January 2011	(211,681)
Recognised in statements of comprehensive income	(297,269)
At 31 December 2011	(508,950)

Deferred tax assets have not been recognised in respect of the following temporary differences:

	Group		
	2012 RM	31.12.2011 RM	1.1.2011 RM
Unutilised capital allowances	2,676,340	1,573,455	2,998,368
Unabsorbed tax losses	2,625,720	1,365,335	1,745,250
	5,302,060	2,938,790	4,743,618

	Company		
	2012 RM	31.12.2011 RM	1.1.2011 RM
Unutilised capital allowances	–	–	–
Unabsorbed tax losses	–	–	81,403
	–	–	81,403

The unabsorbed tax losses and unutilised capital allowances are available indefinitely for offset against future taxable profits of the Group and the Company in which those items arose.

23. REVENUE

This represents billings for professional services rendered net of discounts.

24. PROFIT/(LOSS) BEFORE TAXATION

Profit/(Loss) before taxation is derived after charging/(crediting):

	Group		Company	
	2012 RM	2011 RM	2012 RM	2011 RM
Amortisation of intangible asset	1,668,237	1,363,591	1,580,002	1,363,591
Auditors' remuneration				
- statutory	43,408	34,078	22,000	18,000
- other	23,320	21,700	23,320	21,700
Depreciation of property, plant and equipment	4,683,483	6,765,082	3,157,703	5,687,939
Depreciation of investment properties	185,406	–	185,406	–
Directors' remuneration				
- fees	193,764	161,316	193,764	161,316
- salaries and other emoluments	1,281,776	806,003	354,294	305,548
- EPF	121,139	63,599	39,444	33,348
Bad debts written off	–	1,094	–	1,094
Rental of premises	307,591	549,415	111,052	546,615
Loss on strike-off of a subsidiary company	–	2,599	–	–
(Gain)/Loss on disposal of property, plant and equipment	(13,850)	25	(13,850)	–
Lease rental	–	162,313	–	–
Property, plant and equipment written-off	21,378	–	21,378	–
Foreign exchange loss/(gain)				
- Realised	104,174	63,006	(1,856)	594
- Unrealised	48,411	–	(56,042)	(73,104)
Interest income	(8,055)	(218,019)	(7,889)	(218,019)
Gain on disposal of marketable securities	–	(142,373)	–	(142,373)
Management fee received/ receivable from subsidiary companies	–	–	(748,610)	(496,238)
Direct operating expenses arising from investment properties:				
- Rental generating properties	22,659	–	22,659	–
- Non-rental generating properties	104,629	–	104,629	–

25. TAXATION

	Note	Group 2012 RM	Group 2011 RM	Company 2012 RM	Company 2011 RM
Statutory tax:					
Current year provision		61,934	12,000	61,934	12,000
(Over)/Under provision in prior year		(7,941)	200,629	(7,941)	200,629
		53,993	212,629	53,993	212,629
Deferred taxation:					
Relating to origination of temporary differences	22	114,762	95,137	–	–
(Over)/Under provision in prior year		(10,023)	14,714	–	–
		104,739	109,851	–	–
Tax expense for the financial year		158,732	322,480	53,993	212,629

Domestic income tax is calculated at the Malaysian statutory tax rate of 25% (2011: 25%) of the estimated assessable profit for the financial year. Taxation for other jurisdictions is calculated at the rates prevailing in the respective jurisdictions.

A reconciliation of income tax expense applicable to profit/(loss) before taxation at the statutory income tax rate to income tax expense at the effective income tax rate of the Group and of the Company are as follows:

	Group		Company	
	2012 RM	2011 RM	2012 RM	2011 RM
Profit/(Loss) before taxation	1,947,612	(1,226,398)	2,987,987	(1,306,433)
Taxation at statutory tax rate of 25% (2011: 25%)	486,903	(306,600)	746,997	(326,608)
Expenses not deductible for tax purposes	516,864	108,619	406,960	76,797
Tax incentive arising from pioneer status	(1,710,658)	(21,513)	(1,710,658)	(21,513)
Income not subject to tax	(79,474)	(35,853)	(95,475)	(53,907)
Utilisation of previously unrecognised capital allowance and unused tax losses	–	(233,451)	–	(19,631)
Reversal of deferred tax liabilities not recognised	–	356,862	–	356,862
Deferred tax assets not recognised	884,525	162,549	714,110	–
Effect of different tax rates in other country	78,536	76,524	–	–
(Over)/Under provision of taxation in prior year	(7,941)	200,629	(7,941)	200,629
(Over)/Under provision of deferred tax in prior year	(10,023)	14,714	–	–
Tax expense for the financial year	158,732	322,480	53,993	212,629

The Group and the Company have unabsorbed tax losses amounting to approximately RM2,625,000 and Nil (2011: RM1,365,000 and Nil) respectively and unutilised capital allowances amounting to approximately RM2,676,000 and Nil (2011: RM1,573,000 and RM79,000) respectively available for carry forward to set-off against future taxable profits. The said amounts are subject to approval by the tax authorities.

The Company was granted Pioneer Status by the relevant authority for a period of five years effective from 1 July 2004 to 30 June 2009 and an extension of Pioneer Status for another five years effective from 29 June 2009 to 30 June 2014.

26. EARNINGS/(LOSS) PER SHARE

(a) Basic earnings/(loss) per share

The earnings/(loss) per share has been calculated based on the consolidated profit/(loss) after taxation for the financial year attributable to equity holders of the Company of RM1,788,880 (2011: RM1,548,878) for the Group and the adjusted weighted average number of ordinary shares in issue during the financial year of 296,890,804 (2011: 298,110,247).

	Group	
	2012 RM	2011 RM
Net profit/(loss) for the financial year attributable to the equity holders of the Company	1,788,880	(1,548,878)
Weighted number of ordinary shares in issue	296,890,804	298,110,247

(b) Fully diluted earnings/(loss) per share

Fully diluted earnings/(loss) per share has been calculated based on the consolidated profit/(loss) after taxation for the financial year attributable to equity holders of the Company of RM1,788,880 (2011: RM1,548,878) for the Group and the adjusted weighted average number of ordinary shares issued and issuable of 308,751,068 (2011: 298,110,247).

	Group	
	2012 RM	2011 RM
Net profit/(loss) for the financial year attributable to the equity holders of the Company	1,788,88	(1,548,878)
Weighted number of ordinary shares in issue	296,890,804	298,110,247
Adjusted for:		
Assumed exercise of ESOS at no consideration	11,860,264	*
	308,751,068	298,110,247

* The number of shares under ESOS was not taken into account in the computation of diluted loss per share because the effect on the basic loss per share antidilutive.

27. EMPLOYEE SHARE OPTION SCHEME

The N2N Connect Berhad ("N2N") Employee Share Option Scheme ("ESOS") was approved by shareholders at the General Meetings on 13 October 2005 and 18 October 2005. The ESOS was implemented on 23 November 2005 and shall be in force for a period of 5 years from the date of implementation. Pursuant to the Board's approval on 24 August 2010, the tenure of the ESOS has been extended for a further 5 years, expiring on 22 December 2015.

The main features of the ESOS which is constituted under the by-laws are as follows:

(a) The total number of new ordinary shares which may be made available under the ESOS shall not exceed 10% of the total issued and paid-up share capital of the Company at any point in time during the tenure of the ESOS.

(b) All employees and Directors of the Group shall be eligible to participate in the ESOS, if, as at the offer date, the employee or Director:

(i) has attained the age of eighteen (18) years; and

(ii) is employed by and is on the payroll of a company within the Group or a Director of any of the companies within the Group;

Any allocation of options under the ESOS to any person who is a Director of the Company shall require prior approval from the shareholders of the Company in a general meeting.

(c) The number of new shares that may be offered and allotted to any of the eligible employees of the Group who are entitled to participate in the ESOS shall be at the discretion of the Option Committee after taking into consideration the position, performance and contribution to the Group, seniority and length of service of the eligible employee in the Group subject to the following:

(i) the number of new shares allocated, in aggregate, to the Directors and senior management of the Group shall not exceed 50% of the total new shares available under the ESOS;

(ii) the number of shares allocated to an eligible employee who either singly or collectively through persons connected with the eligible employee holds 20% or more of the issued and paid up share capital of the Company, shall not exceed 10% of the total new shares available under the ESOS.

(d) The option price shall be determined at a discount of not more than 10% from the weighted average market price of the Company's ordinary shares of RM0.10 each for five (5) market days preceding the date of offer, or the par value of the shares, whichever is higher. In the event the ESOS is made to the eligible employees prior to the admission of the Company on the Malaysian Exchange of Securities Dealing & Automated Quotation ("MESDAQ") Market of Bursa Malaysia Securities Berhad ("Bursa Securities"), subsequently transformed into the ACE Market, the option price shall be the higher of the theoretical ex-bonus price after the public issue and bonus issue of RM0.41 or the par value of the shares.

(e) The ESOS shall come into force for a duration of ten (10) years from the effective date 23 November 2005.

(f) The new shares to be allotted upon any exercise of the options shall upon issue and allotment rank pari passu in all respects with the existing ordinary shares of the Company save and except that the new shares will not be entitled to participate in any dividends, rights, allotments and/or other distributions that may be declared, where the entitlement date precedes the said date of allotment and issuance as stipulated therein.

(g) The option is personal to the grantee and is non-assignable.

(h) A Grantee shall exercise his options by notice in writing to the Company in the prescribed form stating the number of options exercised, the number of shares relating thereto and the Grantee's individual/nominee CDS account number. The options shall be exercised in multiples of and not less than one hundred (100) options. The exercise by a Grantee of some but not all of the options which have been offered to and accepted by him shall not preclude the Grantee from subsequently exercising any other options which have been or will be offered to and accepted by him, during the option period.

Movements in the number of share options outstanding and their related weighted average exercise prices ("WAEP") are as follows:

	Number of share options				
	At 1 January	Granted	Exercised	At 31 December	Exercisable at 31 December
2012					
First Grant	4,244,900	–	327,500	3,917,400	3,917,400
Second Grant	21,146,100	–	471,300	20,674,800	20,674,800
Total	25,391,000	–	798,800	24,592,200	24,592,200
WAEP	0.242	–	0.229	0.242	0.242
2011					
First Grant	4,244,900	–	–	4,244,900	4,244,900
Second Grant	21,146,100	–	–	21,146,100	21,146,100
Total	25,391,000	–	–	25,391,000	25,391,000
WAEP	0.242	–	–	0.242	0.242

Details of share options outstanding at end of the financial year are as follows:

Share Options	Exercise price RM	Exercise Period
2011		
First Grant	* 0.200	23.11.2005 - 22.11.2015
Second Grant	* 0.250	23.12.2005 - 22.12.2015
2011		
First Grant	* 0.200	23.11.2005 - 22.11.2015
Second Grant	* 0.250	23.12.2005 - 22.12.2015

* *Fair value of share options granted during the financial year*

As allowed by the transitional provisions in FRS 2 "Share-based payment", the recognition and measurement principles have not been applied to these grants.

28. STAFF INFORMATION

	Note	Group 2012 RM	Group 2011 RM	Company 2012 RM	Company 2011 RM
Staff costs (excluding Directors) comprise:					
Charged to statements of comprehensive income		4,947,694	3,797,215	2,212,838	3,039,728
Capitalised in intangible asset	6	2,694,097	2,563,902	1,838,667	2,563,902
Total staff costs for the financial year		7,641,791	6,361,117	4,051,505	5,603,630

Included in the total staff costs above are contributions made to the Employees Provident Fund under a defined contribution plan for the Group and for the Company amounting to RM781,321 and RM418,349 (2011: RM656,547 and RM575,850) respectively.

29. SECTION 108 TAX CREDIT AND TAX EXEMPT INCOME

Under the single tier system which came into effect from year of assessment 2008, companies are not required to have tax credits under Section 108 of the Income Tax Act, 1967 for dividend payment purposes. Dividends under this system are tax exempt in the hands of shareholder.

Companies with Section 108 balance as at 31 December 2007 may continue to pay franked dividends until such time the tax credit is fully utilised or upon expiry of the 6 year transitional period on 31 December 2013, whichever is earlier, unless they opt to disregard the Section 108 credits and switch over to the single tier system.

Subject to agreement with the Inland Revenue Board, the Company has sufficient tax credit under Section 108 of Income Tax Act, 1967 and tax exempt income under Promotion of Investments Act, 1986 to frank the payment of dividends out of all its distributable reserves as at 31 December 2012.

30. NON-CANCELLABLE OPERATING LEASE COMMITMENTS

	Group 2012 RM	Group 2011 RM
Future minimum rentals payables:		
Within one year	–	25,394

31. CAPITAL COMMITMENT

	Group	
	2012 RM	2011 RM
Authorised and contracted for:		
Purchase of office building	–	23,400,000

32. SEGMENTAL INFORMATION - GROUP

Segment information is primarily presented in respect of the Group's business segment which is based on the Group's management and internal reporting structure. Management monitors the operating results of its business segment separately for the purposes of making decision about resource allocation and performance assessment.

(a) Business segment

The principal businesses of the Group are carrying on the business as researcher and developer of software packages, provider of design, programming, consultancy services and related activities which are substantially within a single business segment. As such, segmental reporting by business segment is deemed not necessary. Accordingly the information regarding its financial position and results is represented by the financial statements as a whole.

(b) Geographical segments

(i) Revenue by geographical location of customers

	Group	
	2012 RM	2011 RM
Malaysia	21,216,697	17,378,472
Singapore	4,325,020	2,482,735
Indonesia	767,631	842,333
Philippine	301,275	–
Hong Kong	–	16,000
	26,610,623	20,719,540

(ii) Non-current assets by geographical location of assets are as follows:

	Group	
	2012 RM	2011 RM
Malaysia	53,751,239	16,111,717
Singapore	1,953,904	772,661
	55,705,143	16,884,378

(c) Information about major customers

Revenue from 2 (2011: 2) major customers amount to RM8,711,538 (2011: RM7,436,828).

33. EFFECTS ON TRANSITION TO MFRSS

These are the first financial statements that the Group and the Company have prepared in accordance with Malaysian Financial Reporting Standards ("MFRSs") for the financial year ended 31 December 2012. For periods up to and including the financial year ended 31 December 2011, the Group and the Company prepared its financial statements in accordance with Financial Reporting Standards ("FRSs").

MFRS 1 permits cumulative currency translation gains and losses to be reset to zero at the transition date, hence providing relief from determining cumulative currency translation differences in accordance with MFRS 121: The Effect of Changes in Foreign Exchange Rates from the date a foreign operation was acquired.

Upon the transition to MFRS, the Group elected to deem all foreign currency translation difference that arose prior to the date of transition in respect of foreign operations to be Nil at the date of transition.

The effect of transition from FRS to MFRS on the comparative consolidated statements of financial position and the consolidated statement of changes in equity of the Group are as follows:

Reconciliation of Consolidated Statement of Financial Position - Group

	1.1.2011		
	FRSs RM	Effect of transition to MFRSs RM	MFRSs RM
Equity			
Exchange reserve	213,885	(213,885)	–
Retained profit	5,097,591	213,885	5,311,476

	31.12.2011		
	FRSs RM	Effect of transition to MFRSs RM	MFRSs RM
Equity			
Exchange reserve	220,801	(141,672)	79,129
Retained profit	3,620,926	141,672	3,762,598

34. MFRSS NOT YET ADOPTED

Certain new accounting standards and interpretations have been issued and are mandatory for accounting periods as mentioned in Note 2(a) to the financial statements. The Group and the Company have assessed those applicable standards issued as follows:

(a) Amendment to MFRS 101: Presentation of Other Comprehensive Income

This Amendment change the grouping of items presented in other comprehensive income. Items that could be reclassified (or recycled) to profit or loss at a future point in time (for example, exchange differences on translation of foreign operations and net loss or gain on available-for-sale financial assets) would be presented separately from items which will never be reclassified (for example, actuarial gains and losses on defined benefit plans and revaluation of land and buildings). The amendment affects presentation only and has no impact on the Group's financial position or performance.

(b) MFRS 10: Consolidated Financial Statements

This Standard establishes a single control model that applies to all entities including "special purpose entities". The changes introduced by this standard will require management to exercise significant judgement to determine which entities are controlled, and therefore are required to be consolidated by a parent.

(c) MFRS 12: Disclosure of Interests in Other Entities

This Standard includes all disclosure relate to an entity's interest in subsidiary company, joint arrangements, associated company and structured entities. A number of new disclosures are required.

(d) MFRS 13: Fair Value Measurement

This Standard establishes a single source of guidance under MFRS for all fair value measurements. This Standard does not change when an entity is required to use fair value, but rather provides guidance of how to measure fair value under MFRS when fair value is required or permitted.

(e) MFRS 127: Separate Financial Statements

This revised Standard contains accounting requirements for investments in subsidiaries, joint ventures and associates when separate financial statements are prepared. The Company is required to account for those investments either at cost or in accordance with MFRS 9 in the separate financial statements.

(f) MFRS 9: Financial Instruments

This Standard addresses the classification and measurement of financial assets and financial liabilities. All financial assets shall be classified on the basis of the Group's business model for managing the financial assets and the contractual cash flow characteristics of the financial asset. Financial assets are initially measured at fair value plus, in the case of a financial asset not at fair value through profit or loss, particular transaction costs. Financial assets are subsequently measured at amortised cost or fair value. Financial liabilities are subsequently measured at amortised cost or fair value. However, changes due to own credit risk in relation to the fair value option for financial liabilities shall be recognised in other comprehensive income.

35. CAPITAL MANAGEMENT

The primary objective of the Group's capital management is to maintain an adequate capital base so as to maintain investor, creditor and market confidence and to sustain future development of the business.

The Group monitors capital using gearing ratio, which is net capital plus net debt. The Group's policy is to keep the lower gearing ratio. The Group includes within net debt, trade and other payables, bank borrowings less cash and bank balances. Capital represents the equity attributable to the owners of the parent.

	Group		Company	
	2012 RM	2011 RM	2012 RM	2011 RM
Trade and other payables	3,653,173	1,659,332	1,052,016	859,303
Bank borrowings	23,313,795	–	23,313,795	–
Less: cash and cash equivalents	(3,406,109)	(2,840,835)	(1,501,486)	(641,785)
Net debt	23,560,859	(1,181,503)	22,864,325	217,518
Total capital	40,073,210	38,531,364	43,011,956	40,377,473
Capital and net debt	63,634,069	37,349,861	65,876,281	40,594,991
Gearing ratio	37.02%	(3.16%)	34.71%	0.54%

There were no changes to the Group's approach to capital management during the financial year.

36. FINANCIAL INSTRUMENTS

(a) Financial risk management objectives and policies

The Group's and the Company's financial risk management policy is to ensure that adequate financial resources are available for the development of the Group's and the Company's operations whilst managing its financial risks, including foreign currency exchange risk, interest rate risk, market risk, credit risk, liquidity and cash flow risk. The Group and the Company operates within clearly defined guidelines that are approved by the Board and the Group's and the Company's policy is not to engage in speculative transactions.

(b) Foreign currency exchange risk

The Group and the Company is exposed to foreign currency risk on sales and purchases that are denominated in a currency other than Ringgit Malaysia. The currency giving rise to this risk is primarily Singapore Dollar, US Dollar, Euro Dollar and Indonesia Rupiah. The Group and the Company monitors the foreign currency risks on an ongoing basis.

The net unhedged financial assets and financial liabilities of the Group and the Company that are not denominated in their functional currencies are as follows:

	Financial Assets/(Liabilities) Held in Non-Functional Currency				
Functional Currency	**Singapore Dollar RM**	**US Dollar RM**	**Euro Dollar RM**	**Indonesia Rupiah RM**	**Total RM**
Group					
2012					
Trade receivables					
Ringgit Malaysia	–	427,695	–	5,085	432,780
Trade payables					
Ringgit Malaysia	–	261,812	17,943	–	279,755
2011					
Trade receivables					
Ringgit Malaysia	26,645	485,400	–	13,304	525,349
Trade payables					
Ringgit Malaysia	–	185,800	–	3,780	189,580
Company					
2012					
Trade payables					
Ringgit Malaysia	–	194,018	7,476	–	201,494
Amount owing by subsidiary company					
Ringgit Malaysia	3,632,734	–	–	–	3,632,734
2011					
Amount owing by subsidiary company					
Ringgit Malaysia	1,461,087	–	–	–	1,461,087

Currency risk sensitivity analysis

The following table shows the sensitivity of the Group and the Company's equity and loss net of tax to a reasonably possible change in the SGD, USD, IDR and Euro exchange rates against the functional currency of the Company, with all other variables remain constant.

		Group Profit/(Loss) net of tax 2012 RM	2011 RM
SGD/RM	-strengthened 5%	553	2,169
	-weakened 5%	(553)	(2,169)
USD/RM	-strengthened 5%	32,781	28,791
	-weakened 5%	(32,781)	(28,791)
IDR/RM	-strengthened 10%	(7,230)	952
	-weakened 10%	7,230	(952)
Euro/RM	-strengthened 5%	(1,568)	–
	-weakened 5%	1,568	–

		Company Profit/(Loss) net of tax 2012 RM	2011 RM
SGD/RM	-strengthened 5%	181,636	56,374
	-weakened 5%	(181,636)	(56,374)
USD/RM	-strengthened 5%	(15,419)	4,941
	-weakened 5%	15,419	(4,941)
Euro/RM	-strengthened 5%	(708)	–
	-weakened 5%	708	–

(c) Interest rate risk

The Group's and the Company's income and operating cash flows are substantially independent of changes in market interest rates. Interest rate exposure arises from the Group's and the Company's borrowings and deposits.

Exposure to interest rate risk

The interest rate profile of the Group's and the Company's significant interest-bearing financial instruments, based on carrying amounts as at the end of the financial year are as follows:

	Group		Company	
	2012 RM	2011 RM	2012 RM	2011 RM
Fixed rate instruments				
Deposits with licensed banks	10,968	166,525	10,968	166,525
Floating rate instrument				
Bank borrowings	23,313,795	–	23,313,795	–

Interest rate risk sensitivity analysis

A change of 50 basis points ("bp") in interest rates at the end of the reporting period would have increase/(decrease) profit/(loss) net of tax by the amounts shown below, assuming all other variables remain constant.

	Group/Company	
	2012 RM	2011 RM
Profit/(Loss) net of tax		
50 bp increase	(81,102)	–
50 bp decrease	81,102	–

(d) Credit risk

Exposure to credit risk

The Group's and the Company's exposure to credit risk arises mainly from receivables. Receivables are monitored on an ongoing basis via management reporting procedure and action is taken to recover debts when due.

Credit risk concentration profile

At statement of financial position date, there was no significant concentration of credit risk. The maximum exposure to credit risk for the Group and the Company is the carrying amount of the financial assets shown in the statements of financial position.

The Group and the Company determines concentrations of credit risk by monitoring the country profiles of its trade receivables on an ongoing basis as follows:

	Group		Company	
	2012 RM	2011 RM	2012 RM	2011 RM
By country:				
Malaysia	5,974,162	4,582,022	840,069	1,687,273
Singapore	1,229,820	157,308	–	–
	7,203,982	4,739,330	840,069	1,687,273

(e) Liquidity and cash flow risk

The Group maintains a certain level of cash and cash convertible investments to meet its working capital requirements.

Maturity analysis

The table below summarises the maturity profile of the Group's and the Company's financial liabilities as at the end of the reporting period based on contractual undiscounted repayment obligations.

	On demand or within one year RM	One to five years RM	Over five years RM	Total RM
Group				
2012				
Trade payables	1,283,857	–	–	1,283,857
Other payables	2,369,316	–	–	2,369,316
Amount owing to directors	78,559	–	–	78,559
Bank borrowings	6,958,239	8,177,760	8,177,796	23,313,795
Total undiscounted financial liabilities	10,689,971	8,177,760	8,177,796	27,045,527
2011				
Trade payables	461,974	–	–	461,974
Other payables	1,197,358	–	–	1,197,358
Amount owing to directors	86,212	–	–	86,212
Total undiscounted financial liabilities	1,745,544	–	–	1,745,544
Company				
2012				
Trade payables	259,715	-	-	259,715
Other payables	792,301	-	-	792,301
Amount owing to directors	78,559	-	-	78,559
Bank borrowings	6,958,239	8,177,760	8,177,796	23,313,795
Total undiscounted financial liabilities	8,088,814	8,177,760	8,177,796	24,444,370
2011				
Trade payables	449,579	-	-	449,579
Other payables	409,724	-	-	409,724
Amount owing to directors	86,212	-	-	86,212
Total undiscounted financial liabilities	945,515	-	-	945,515

(f) Market price risk

Market price risk is the risk that the fair value or future cash flows of the Group's financial instruments will fluctuate because of changes in market prices (other than interest and exchange rates).

The Group and the Company is exposed to equity price risk arising from its investment in quoted equity instruments. The quoted equity instruments are listed on the Bursa Malaysia. These instruments are classified as held for trading.

The fair value of quoted shares and quoted unit trusts are determined by reference to stock exchange quoted market bid prices at the close of the business on the statement of financial position date.

(g) Fair values

(i) The carrying amounts of cash and cash equivalents, trade and other receivables, trade and other payables, amount owing by holding company, amount owing by subsidiary companies and amount owing to directors are approximated to their fair values at the statement of financial position date due to the relatively short term nature of these financial instruments.

(ii) The aggregate fair values of the other financial assets carried on the statement of financial position date are as follows:

	2012		2011	
	Carrying amount RM	Fair value RM	Carrying amount RM	Fair value RM
Group				
Financial assets				
Marketable securities	56,246	56,246	857,787	857,787
Bank borrowings	23,313,795	18,655,773	–	–
Company				
Financial assets				
Marketable securities	56,246	56,246	857,787	857,787
Bank borrowings	23,313,795	18,655,773	–	–

37. RELATED PARTY DISCLOSURES

(a) In addition to the transactions detailed elsewhere in the financial statements, the Group and the Company had the following transactions with related parties during the financial year:

	Company	
	2012 RM	2011 RM
Subsidiary Companies		
E-broker fees received/receivable	10,579,835	7,351,763
Management fees received/receivable	748,610	496,238
Settlement of liabilities by the Company on behalf of the subsidiary companies	2,816,792	–
Settlement of liabilities by the subsidiary companies on behalf of the Company	4,031,589	2,133,047
Related company		
Rental income received/receivable	7,200	–

The Directors are of the opinion that all the transactions above have been entered into in the normal course of business and have been established on terms and conditions that are not materially different from those obtainable in transactions with unrelated parties.

(b) Information regarding outstanding balances arising from related party transactions as at 31 December 2012 are disclosed in Notes 10, 11 and 12 to the financial statements.

(c) Information regarding the compensation of key management personnel is as follows:

	Group		Company	
	2012 RM	2011 RM	2012 RM	2011 RM
Short-term employee benefits	2,595,751	2,310,401	830,742	1,220,628

Executive directors of the Group and the Company and other members of key management have been granted the following number of options under the ESOS:

	Number of share options				
	At 1 January	Granted	Exercised	At 31 December	Exercisable at 31 December
2012					
First Grant	2,397,600	–	245,500	2,152,100	2,152,100
Second Grant	10,100,000	–	–	10,100,000	10,100,000
Total	12,497,600	–	245,500	12,252,100	12,252,100
WAEP	0.240	–	0.200	0.241	0.241

	Number of share options				
	At 1 January	Granted	Exercised	At 31 December	Exercisable at 31 December
2011					
First Grant	2,397,600	–	–	2,397,600	2,397,600
Second Grant	10,100,000	–	–	10,100,000	10,100,000
Total	12,497,600	–	–	12,497,600	12,497,600
WAEP	0.240	-–	–	0.240	0.240

The share options were granted on the same terms and conditions as those offered to other employees of the Group as disclosed in Note 27 to the financial statements.

38. SIGNIFICANT EVENTS

During the financial year, the following significant events took place:

(a) On 3 June 2011, the Company entered into conditional Sale and Purchase Agreement ("SPA") with Bangga Istimewa Sdn. Bhd. to purchase 11 storey office building for a total cash consideration of RM36,000,000. The mode of payment are as follows:

(i) RM720,000 earnest deposit paid before signing of the SPA;
(ii) RM2,880,000 being the balance of 10% deposit paid upon execution of the SPA;
(iii) The balance of RM32,400,000 to be paid before 14 days of one month after the condition precedent as stipulated in the SPA are fulfilled.

The conditions precedent has been fulfilled on 26 August 2011 and the completion date has been extended from 26 September 2011 (one month from the unconditional date) to 26 December 2011. The mode of payment for the balance of RM32,400,000 has been revised as follows:

(i) RM9,000,000 to be paid before 14 days of one month before the completion date and will be held as stakeholders;
(ii) RM23,400,000 to be paid before completion date.

Subsequently, the completion date has been extended from 26 December 2011 to 31 January 2012. The acquisition has been completed on 19 January 2012 upon payment of the balance of purchase consideration.

(b) On 15 October 2012, the Company submitted an application to the Bursa Malaysia Securities Berhad ("Bursa Securities") and Bank Negara Malaysia ("BNM") to seek approval for the proposed renounceable rights issue of up to 108,110,000 five (5)-year warrants 2013/2018 on the basis of one warrant for every three existing ordinary shares of RM0.10 each held in the Company ("Proposed Rights Issue of Warrants"). On 1 November 2012 and 31 December 2012, the Company obtained approval from BNM and Bursa Securities respectively for the Proposed Rights Issue of Warrants.

The Company obtained approval from its shareholders at the Extraordinary General Meeting held on 29 January 2013 to implement the abovementioned Proposed Rights Issue of Warrants.

39. SUBSEQUENT EVENTS

Subsequent to the financial year, the following significant events took place:

(a) The Company had purchased a total of 2,841,300 ordinary shares of its issued and paid-up share capital from the open market at a total cost of RM1,335,159. The average price paid for the shares purchased was RM0.47 per share.

The repurchase transactions were financed by internally generated funds. The repurchased shares are being held as treasury shares and carried at cost in accordance with the requirements of Section 67A of the Companies Act, 1965.

(b) The issued and paid-up share capital of the Company was increased from RM29,973,780 to RM29,977,080 by way of the issuance of 17,600 and 15,400 ordinary shares of RM0.10 each for cash pursuant to the Company's Employee Share Options Scheme at weighted exercise price of RM 0.20 and RM0.25 per ordinary share respectively.

(c) On 14 March 2013, the Company has resold its treasury shares of 2,857,700 shares at average selling price of RM0.47 per ordinary share.

40. RETAINED PROFITS

The breakdown of the retained earnings of the Group and of the Company as of 31 December into realised and unrealised amounts is as follows:

	Group	
	2012 RM	2011 RM
Total retained profits		
Realised	5,290,624	3,389,824
Unrealised	87,893	109,115
	5,378,517	3,498,939
Add: Consolidation adjustments	172,961	263,659
Total retained profits as per consolidated statement of financial position	5,551,478	3,762,598

	Company	
	2012 RM	2011 RM
Total retained profits		
Realised	8,317,694	5,439,742
Unrealised	304,136	248,094
	8,621,830	5,687,836
Add: Consolidation adjustments	–	–
Total retained profits as per consolidated statement of financial position	8,621,830	5,687,836

The above disclosure of realised and unrealised profits or losses is made solely for complying with the disclosure requirements stipulated in the directive of Bursa Malaysia Securities Berhad and is not made for any other purposes.

41. COMPARATIVE INFORMATION

Certain comparative figures have been restated to comply with MFRS 1, First-time Adoption of Malaysian Financial Reporting Standards as these are the Group's and the Company's first financial statements prepared in accordance with MFRSs. The corresponding comparative figures have been restated as follows:

	As previously stated RM	Adjustment RM	Restated RM
Statements of financial position			
Equity			
Exchange reserve	220,801	(141,672)	79,129
Retained profit	3,620,926	141,672	3,762,598
Statements of comprehensive income			
Other operating income	645,651	(72,213)	573,438

42. DATE OF AUTHORISATION FOR ISSUE

The financial statements of the Group and of the Company for the financial year ended 31 December 2012 were authorised for issue in accordance with a resolution of the Board of Directors on 9 April 2013.

Analysis
Of Shareholdings as at 12 April 2013

Authorised Capital	:	RM50,000,000
Issued and Fully Paid-Up Capital	:	RM29,977,080
Class of shares	:	Ordinary shares of RM0.10 each
Voting rights	:	One vote per ordinary share
Treasury shares	:	2,831,200 ordinary shares of RM0.10 each

1. DISTRIBUTION SCHEDULE OF SHAREHOLDERS

No. of Holders	Holdings	Total Holdings	%
23	Less than 100	537	0.00
113	100 to 1,000	83,013	0.03
418	1,001 to 10,000	2,302,200	0.77
290	10,001 to 100,000	10,234,548	3.45
132	100,001 to less than 5% of issued shares	122,515,792	41.26
2	5% and above of issued shares	161,803,510	54.49
978		296,939,600	100.00

2. LIST OF THIRTY (30) LARGEST SECURITIES ACCOUNT HOLDERS

	Name	No. of shares	Percentage (%)
1	N2N Connect Holdings Sdn Bhd	133,803,510	45.06
2	Amsec Nominees (Asing) Sdn Bhd *Exempt An for AmFraser Securities Pte Ltd (66580 A CL)*	28,000,000	9.43
3	HSBC Nominees (Asing) Sdn Bhd *Exempt An for UBS AG (Clients Assets)*	13,228,000	4.45
4	Wong Lai Yoke	10,858,362	3.66
5	Tiang Boon Hwa	10,217,570	3.44
6	CIMSEC Nominees (Tempatan) Sdn Bhd *Lai Su Ping (ESOS Pool Account)*	10,096,496	3.40
7	Amsec Nominees (Asing) Sdn Bhd *AmFraser Securities Pte Ltd for Goh Fuqiang, Kenneth (Wu Fuqiang, Kenneth) (16338)*	9,950,000	3.35
8	Amsec Nominees (Asing) Sdn Bhd *AmFraser Securities Pte Ltd for Hayman Holdings Limited (16288)*	7,693,500	2.59
9	HLB Nominees (Asing) Sdn Bhd *Pledged Securities Account for Ong Nai Pew (SIN 9488-0)*	5,380,800	1.81
10	CIMSEC Nominees (Tempatan) Sdn Bhd *CIMB Bank for Goh Ching Chee (MY0605)*	4,410,000	1.49
11	Amsec Nominees (Asing) Sdn Bhd *AmFraser Securities Pte Ltd for Ramesh s/o Pritamdas Chandiramani (16090)*	2,698,000	0.91
12	Ming Khing Yih	2,130,000	0.72
13	Lai Sok Kun	2,018,800	0.68
14	Amsec Nominees (Tempatan) Sdn Bhd *Pledged Securities Account for Ling Yun Hwee @ Lim Bee Hong*	1,870,000	0.63
15	CIMSEC Nominees (Tempatan) Sdn Bhd *N2N Connect Holdings Sdn Bhd (ESOS Pool Account)*	1,646,000	0.55
16	HDM Nominees (Asing) Sdn Bhd *DBS Vickers Secs (S) Pte Ltd for Hayman Holding Limited*	1,398,900	0.47
17	Tang Yim Heng	1,135,300	0.38
18	Cimsec Nominees (Asing) Sdn Bhd *Exempt An for CIMB Securities (Singapore) Pte Ltd (Retail Clients)*	1,010,000	0.34
19	Lai Sook Tien	1,000,000	0.34

Analysis of Shareholdings

as at 12 April 2013

	Name	No. of shares	Percentage (%)
20	Liew Kim Loong	989,000	0.33
21	Lai Wei Suen	959,600	0.32
22	Cimsec Nominees (Tempatan) Sdn Bhd *Pledged Securities Account for Ng Yen Woon (Cyberjaya - CL)*	950,000	0.32
23	HLIB Nominees (Asing) Sdn Bhd *Exempt An for UOB Kay Hian Pte Ltd (A/C Clients)*	830,100	0.28
24	Chen Boon Chew	790,500	0.27
25	Goh Ching Chee	750,000	0.25
26	PM Nominees (Tempatan) Sdn Bhd *Pledged Securities Account for Vivian Lea Si-Xiu (D)*	744,600	0.25
27	Ngang Ching Tang	729,100	0.25
28	Public Nominees (Tempatan) Sdn Bhd *Pledged Securities Account for Tan Boon Leng (E-TJJ)*	716,200	0.24
29	SJ Sec Nominees (Tempatan) Sdn Bhd *Pledged Securities Account for Chua Tiong Kheng (SMT)*	699,000	0.24
30	Quey Sew Leng @ Quek Siew Leng	687,000	0.23
		257,390,338	86.68

3. LIST OF SUBSTANTIAL SHAREHOLDERS

	Names	No. of shares (Direct)	Percentage (%)	No. of shares (Indirect)	Percentage (%)
1	N2N Connect Holdings Sdn Bhd	135,449,510	45.62	–	–
2	Amsec Nominees (Asing) Sdn Bhd *Exempt An for AmFraser Securities Pte Ltd (66580 A CL)*	28,000,000	9.43	–	–
3.	Tiang Boon Hwa	10,738,944	3.62	145,566,354 (1)	49.02
4.	Lai Su Ping	10,116,844	3.41	146,188,454 (2)	49.23

4. DIRECTOR'S INTEREST IN SHARES IN THE COMPANY AND ITS RELATED COMPANIES

	Names	No. of shares (Direct)	Percentage (%)	No. of shares (Indirect)	Percentage (%)
1	Izlan bin Izhab	–	–	–	–
2	Tiang Boon Hwa	10,738,944	3.62	145,566,354 (1)	49.02
3	Lai Su Ping	10,116,844	3.41	146,188,454 (2)	49.23
4	Chua Tiong Hoong	779,354	0.26	364,000 (3)	0.12
5	Cho Wai Loon	200,000	0.07	–	–
6	Tan Boon Leng	1,232,700	0.42	–	–

The above Directors by virtue of the shareholdings in the Company are also deemed interested in shares in the related corporations to the extent the Company has an interest.

Notes:-

(1) *Deemed interested by virtue of his interest in N2N Connect Holdings Sdn Bhd and his spouse, Lai Su Ping's interest, pursuant to Sections 6A and 134 of the Act.*

(2) *Deemed interested by virtue of her interest in N2N Connect Holdings Sdn Bhd and her spouse, Tiang Boon Hwa's interest, pursuant to Sections 6A and 134 of the Act.*

(3) *Deemed interested by virtue of his spouse, Yap Oi Peng's interest, pursuant to Section 134 of the Act.*

Analysis
Of Warrantholdings as at 12 April 2013

Type of Securities	:	5 Years Warrants 2013/2018
Total Warrants Issued and Not Exercised	:	99,923,600
Voting rights	:	The holders of the Warrants are not entitled to any voting rights or to participate in any distribution and/or offer of further securities in the Company until and unless such holder of the Warrants are issued with new N2N Shares arising from their exercise of the Warrants

1. DISTRIBUTION SCHEDULE OF WARRRANTHOLDERS

No. of Holders	Holdings	Total Holdings	%
–	Less than 100	–	0.00
36	100 to 1,000	22,500	0.02
156	1,001 to 10,000	717,034	0.72
127	10,001 to 100,000	4,344,452	4.35
63	100,001 to less than 5% of issued warrants	38,992,478	39.02
2	5% and above of issued shares	55,847,136	55.89
384		99,923,600	100.00

2. LIST OF THIRTY (30) LARGEST WARRANTS ACCOUNT HOLDERS

	Name	No. of Warrants	Percentage (%)
1	N2N Connect Holdings Sdn Bhd	46,013,803	46.05
2	Amsec Nominees (Asing) Sdn Bhd *Exempt An for AmFraser Securities Pte Ltd (66580 A CL)*	9,833,333	9.84
3	HSBC Nominees (Asing) Sdn Bhd *Exempt An for UBS AG (Clients Assets)*	4,212,400	4.22
4	Tiang Boon Hwa	3,405,856	3.41
5	CIMSEC Nominees (Tempatan) Sdn Bhd *Lai Su Ping (ESOS Pool Account)*	3,365,498	3.37
6	Amsec Nominees (Asing) Sdn Bhd *AmFraser Securities Pte Ltd for Goh Fuqiang, Kenneth (Wu Fuqiang, Kenneth) (16338)*	3,316,666	3.32
7	Wong Lai Yoke	3,000,000	3.00
8	Amsec Nominees (Asing) Sdn Bhd *AmFraser Securities Pte Ltd for Hayman Holdings Limited (16288)*	2,844,500	2.85
9	HLB Nominees (Asing) Sdn Bhd *Pledged Securities Account for Ong Nai Pew (SIN 9488-0)*	1,850,300	1.85
10	CIMSEC Nominees (Tempatan) Sdn Bhd *CIMB Bank for Goh Ching Chee (MY0605)*	1,516,600	1.52
11	Amsec Nominees (Asing) Sdn Bhd *AmFraser Securities Pte Ltd for Ramesh s/o Pritamdas Chandiramani (16090)*	1,250,000	1.25
12	Tiang Boon Hwa	952,733	0.95
13	Public Nominees (Tempatan) Sdn Bhd *Pledged Securities Account for Yap Soon Heng (E-TJJ)*	705,000	0.71
14	Lim Poh Fong	704,700	0.71
15	Lai Sok Kun	672,933	0.67
16	Amsec Nominees (Tempatan) Sdn Bhd *Pledged Securities Account for Ling Yun Hwee @ Lim Bee Hong*	623,400	0.62
17	Tai Kok Wei	597,500	0.60
18	Ngang Ching Tang	580,700	0.58
19	CIMSEC Nominees (Tempatan) Sdn Bhd *N2N Connect Holdings Sdn Bhd (ESOS Pool Account)*	548,666	0.55

Analysis of Warrantholdings

as at 12 April 2013

	Name	No. of Warrants	Percentage (%)
20	HDM Nominees (Asing) Sdn Bhd *DBS Vickers Secs (S) Pte Ltd for Hayman Holding Limited*	466,300	0.47
21	Public Nominees (Tempatan) Sdn Bhd *Pledged Securities Account for Lam Pao Ney (E-TSA)*	387,900	0.39
22	Cimsec Nominees (Asing) Sdn Bhd *Exempt An for CIMB Securities (Singapore) Pte Ltd (Retail Clients)*	336,333	0.34
23	Lai Sook Tien	333,333	0.33
24	Liew Kim Loong	329,666	0.33
25	Cimsec Nominees (Tempatan) Sdn Bhd *CIMB for Teo Ah Seng (PB)*	300,000	0.30
26	Chen Boon Chew	263,500	0.26
27	Goh Ching Chee	257,900	0.26
28	PM Nominees (Tempatan) Sdn Bhd *Pledged Securities Account for Vivian Lea Si-Xiu (D)*	256,100	0.26
29	Mexvin Chow Yew Hoong	239,600	0.24
30	Public Nominees (Tempatan) Sdn Bhd *Pledged Securities Account for Tan Boon Leng (E-TJJ)*	239,000	0.24
		89,404,220	89.47

3. DIRECTOR'S INTEREST IN WARRANTS IN THE COMPANY AND ITS RELATED COMPANIES

	Names	No. of Warrants (Direct)	Percentage (%)	No. of Warrants (Indirect)	Percentage (%)
1	Izlan bin Izhab	–	–	–	–
2	Tiang Boon Hwa	4,492,089	4.50	49,934,749 (1)	49.97
3	Lai Su Ping	3,372,280	3.37	51,054,558 (2)	51.10
4	Chua Tiong Hoong	104,000	0.10	125,200 (3)	0.13
5	Cho Wai Loon	–	–	–	–
6	Tan Boon Leng	411,166	0.41	–	–

Notes:-

(1) *Deemed interested by virtue of his interest in N2N Connect Holdings Sdn Bhd and his spouse, Lai Su Ping's interest, pursuant to Sections 6A and 134 of the Act.*

(2) *Deemed interested by virtue of her interest in N2N Connect Holdings Sdn Bhd and her spouse, Tiang Boon Hwa's interest, pursuant to Sections 6A and 134 of the Act.*

(3) *Deemed interested by virtue of his spouse, Yap Oi Peng's interest, pursuant to Section 134 of the Act.*

Notice of
Annual General Meeting

NOTICE IS HEREBY GIVEN that the Twelfth Annual General Meeting of the Company will be held at Wisma N2N, Level 9, Tower 2, Avenue 3, Bangsar South, No. 8, Jalan Kerinchi, 59200 Kuala Lumpur on Tuesday, 28 May 2013 at 10:00 a.m. to transact the following business:

Agenda

1. To receive the Audited Financial Statements for the financial year ended 31 December 2012 and the Reports of the Directors and Auditors thereon. *(Ordinary Resolution 1)*

2. To approve the payment of Directors' fees of RM193,764 for the financial year ended 31 December 2012 (2011: RM161,316). *(Ordinary Resolution 2)*

3. To re-elect the following Directors retiring in accordance with Article 127 of the Company's Articles of Association:

   3.1. Mdm Lai Su Ping *(Ordinary Resolution 3)*

   3.2. Mr Chua Tiong Hoong *(Ordinary Resolution 4)*

4. To re-appoint Messrs Morison Anuarul Azizan Chew as Auditors of the Company and to authorise the Directors to fix their remuneration. *(Ordinary Resolution 5)*

Special Business

5. To consider and if thought fit, to pass the following as an ordinary resolution:

Ordinary Resolution
Authority pursuant to Section 132D of the Companies Act, 1965

"THAT, pursuant to Section 132D of the Companies Act, 1965 and subject to the approvals of the relevant government and/or regulatory authorities, where necessary, the Directors be and are hereby empowered to allot and issue shares in the Company at any time until the conclusion of the next Annual General Meeting and upon such terms and conditions and for such purposes as the Directors may, in their absolute discretion, deem fit provided that the aggregate number of shares to be issued does not exceed 10% of the total issued share capital of the Company at the time of issue, and that the Directors be and are also empowered to obtain the approval of Bursa Malaysia Securities Berhad for the listing of and quotation for the additional shares so issued." *(Ordinary Resolution 6)*

6. To consider and if thought fit, to pass the following as an ordinary resolution:

Ordinary Resolution
Proposed renewal of the authority for N2N Connect Berhad to purchase up to ten percent (10%) of its issued and paid-up share capital ("Proposed Share Buy-Back")

"THAT, subject to the Companies Act, 1965, the Articles of Association of the Company, the Listing Requirements of Bursa Malaysia Securities Berhad ("Bursa Securities") for the ACE Market ("ACE LR") and the approval of such relevant government and/or regulatory authorities, where necessary, the Company be and is hereby authorised to purchase its own ordinary shares of RM0.10 each ("Shares") on the ACE Market of Bursa Securities ("Proposed Share Buy-Back") at any time, upon such terms and conditions as the Directors shall in their discretion deem fit and expedient in the best interest of the Company provided that:- *(Ordinary Resolution 7)*

(a) The aggregate number of Shares in the Company which may be purchased and/or held by the Company shall not exceed ten percent (10%) of the prevailing issued and paid-up share capital of the Company at the time of purchase and the compliance with the public shareholding spread requirements as stipulated in Rule 8.02(1) of the ACE LR or such other requirements as may be determined by Bursa Securities from time to time;

(b) The maximum funds to be allocated by the Company for the purpose of purchasing the Shares shall not exceed the audited retained profits and/or share premium account of the Company of RM8,621,830 and RM5,332,850 respectively as at 31 December 2012;

(c) The authority conferred by this resolution will commence after the passing of this ordinary resolution and will continue to be in force until:-

(i) the conclusion of the next Annual General Meeting ("AGM") at which time it shall lapse unless by ordinary resolution passed at the meeting, the authority is renewed, either unconditionally or subject to conditions; or

(ii) the expiration of the period within which the next AGM after that date is required by law to be held; or

(iii) revoked or varied by ordinary resolution passed by the shareholders of the Company in a general meeting;

whichever occurs first; and

(d) Upon the purchase by the Company of its own Shares, the Board of Directors of the Company ("Board") be and is hereby authorised to:-

(i) cancel all or part of the Shares purchased pursuant to the Proposed Share Buy-Back ("Purchased Shares"); and/or

(ii) retain all or part of the Purchased Shares as treasury shares; and/or

(iii) distribute the treasury shares as share dividends to the Company's shareholders for the time being; and/or

(iv) resell the treasury shares on Bursa Securities.

AND THAT authority be and is hereby given to the Board to take all such steps as are necessary or expedient to implement, finalise and give full effect to and to implement the Proposed Share Buy-Back with full powers to assent to any conditions, modifications, revaluations, variations and/or amendments (if any) as may be required or imposed by the relevant authorities from time to time and to do all such acts and things as the Board may deem fit and expedient in the best interest of the Company."

Notice of Annual General Meeting

7. To transact any other business for which due notice shall have been given.

FURTHER NOTICE IS HEREBY GIVEN THAT for the purpose of determining a member who shall be entitled to attend this Twelfth Annual General Meeting, the Company shall be requesting Bursa Malaysia Depository Sdn. Bhd. (Bursa Depository) in accordance with Article 77 of the Company's Articles of Association and Section 34 (1) of the Securities Industry (Central Depositories) Act 1991 to issue a General Meeting Record of Depositors as at 17 May 2013. Only a depositor whose name appears on the Record of Depositors as at 17 May 2013 shall be entitled to attend the said meeting or appoint proxy/proxies to attend and/or vote on his behalf.

By order of the Board

HO MUN YEE (MAICSA 0877877)
TAM FONG YING (MAICSA 7007857)
Company Secretaries

Kuala Lumpur
6 May 2013

NOTES:

1. *A proxy may but need not be a member of the Company and the provisions of Section 149(1)(b) of the Act shall not apply to the Company.*

2. *A member shall be entitled to appoint more than one (1) proxy but not exceeding three (3) proxies to attend and vote at the same meeting. Where a member appoints more than one (1) proxy, the appointment shall be invalid unless he specifies the proportions of his holdings to be represented by each proxy. If the appointor is a corporation, this form must be executed under its Common Seal or under the hand of its attorney.*

3. *The instrument appointing a proxy must be deposited at the Company's Registered Office at 3rd Floor, No. 17 Jalan Ipoh Kecil, 50350 Kuala Lumpur not less than 48 hours before the time appointed for holding the Meeting or any adjournment* thereof.

EXPLANATORY NOTES ON SPECIAL BUSINESS

1. Authority pursuant to Section 132D of the Companies Act, 1965

The Ordinary Resolution, if passed, will give authority to the Directors of the Company, from the date of the above Annual General Meeting, to issue and allot ordinary shares in the Company up to and not exceeding in total 10% of the issued capital of the Company at the time of issue. This authority, unless revoked or varied at a general meeting, will expire at the next Annual General Meeting.

As at the date of this Notice, no new shares in the Company were issued pursuant to the mandate granted to the Directors at the last AGM held on 15 June 2012, in which the said mandate will lapse at the conclusion of this AGM.

The Renewed Mandate will provide flexibility to the Company for any possible fund raising activities, including but not limited to further placing of shares, for purpose of funding future investment project(s), working capital and/or acquisitions.

2. Proposed Renewal of Authority To Buy-Back Shares

The Ordinary Resolution, if passed, will provide mandate for the Company to buy-back its own shares up to a limit of 10% of the existing issued and paid-up share capital of the Company. Further explanatory notes on Ordinary Resolution 7 is set out in the Statement to Shareholders dated 6 May 2013 despatched together with the Annual Report.

Statement Accompanying
The Notice of Annual General Meeting

A. Further Details of the Directors who are standing for re-election as Directors

The details of the Directors who are standing for re-election at the 12th Annual General Meeting are set out in the Directors' Profile of the Company's Annual Report 2012. No individual other than the retiring Directors are seeking election as Directors at the 12th Annual General Meeting.

B. Details of attendance of Directors at Board of Directors' Meetings

Please refer to the Board of Directors' attendance as set out in the Corporate Governance Statement of the Company's Annual Report 2012.

List of Property

as at 31 December 2012

POSTAL ADDRESS	APPROXIMATE AGE OF BUILDING	TENURE / DATE OF ACQUISITION	REMAINING LEASE PERIOD (EXPIRY OF LEASE)	CURRENT USE	LAND AREA (SQ FEET)	NET BOOK VALUE AS AT 31 DECEMBER 2012 (RM'000)
Wisma N2N, Tower 2, Avenue 3, Bangsar South, No. 8, Jalan Kerinchi, 59200 Kuala Lumpur	5 Years	Leasehold / 3 June 2011	94 Years (16 August 2106)	Corporate offices	54,059	36,743

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PROXY FORM

N2N CONNECT BERHAD
(523137-K)
(Incorporated in Malaysia)

I/We, ... (NRIC No ..... /Tel No.....)

of .....

being a member(s) of **N2N CONNECT BERHAD**, hereby appoint.....

of .....

or failing him/her .....

of .....

as my/our proxy, to vote for me/us and on my/our behalf at the Twelfth Annual General Meeting of the Company to be held at Wisma N2N, Level 9, Tower 2, Avenue 3, Bangsar South, No. 8, Jalan Kerinchi, 59200 Kuala Lumpur on Tuesday, 28 May 2013 at 10:00 a.m or at any adjournment thereof.

The proportion of my/our shareholding to be represented by my/our proxies are as follows:-

First proxy (1) .....% Second proxy (2) .....%

Third proxy (3) .....%

		FOR	AGAINST
Ordinary Resolution 1	Reports and Audited Financial Statements		
Ordinary Resolution 2	Directors' fees		
Ordinary Resolution 3	Re-election of Mdm Lai Su Ping		
Ordinary Resolution 4	Re-election of Mr Chua Tiong Hoong		
Ordinary Resolution 5	Re-appointment of Auditors		
Ordinary Resolution 6	Authorisation for Directors to allot and issue shares pursuant to Section 132D		
Ordinary Resolution 7	Authorisation to buy-back shares		

Subject to any voting instructions so given, the proxy will vote, or may abstain from voting on any resolution as he/she may think fit.

.....
Signature(s)/Common Seal of Shareholder

No. of Shares held

Dated this.....day of 2013

NOTES

1. *A proxy may but need not be a member of the Company and the provisions of Section 149(1)(b) of the Act shall not apply to the Company.*
2. *A member shall be entitled to appoint more than one (1) proxy but not exceeding three (3) proxies to attend and vote at the same meeting. Where a member appoints more than one (1) proxy, the appointment shall be invalid unless he specifies the proportions of his holdings to be represented by each proxy. If the appointor is a corporation, this form must be executed under its Common Seal or under the hand of its attorney.*
3. *The instrument appointing a proxy must be deposited at the Company's Registered Office at 3rd Floor, No. 17 Jalan Ipoh Kecil, 50350 Kuala Lumpur not less than 48 hours before the time appointed for holding the Meeting or any adjournment thereof.*

Please fold here

Stamp

The Company Secretary
N2N CONNECT BERHAD (523137-K)
3rd Floor
17, Jalan Ipoh Kecil
50350 Kuala Lumpur

Please fold here

N2N CONNECT BERHAD (523137-K)

Wisma N2N
Level 9, Tower 2
Avenue 3, Bangsar South
No. 8, Jalan Kerinchi
59200 Kuala Lumpur

Tel : (603).2241 1818
Fax : (603).2241 1616
Helpdesk : (603).2241 1333
Email : helpdesk@n2nconnect.com
Website : www.n2nconnect.com

MSC - Status
Company